

ASIA ASSET FINANCE PLC
COLOMBO 02

FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH 2024

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF ASIA ASSET FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Asia Asset Finance PLC (the "Company"), which comprise the statement of financial position as at 31st March 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of material accounting policy information as set out on pages 06 to 75.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31st March 2024, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of the most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter

Impairment of loans and receivables

The Company's gross loans and receivable amount to Rs. 20.5 billion as at 31st March 2024 (2023: Rs. 21.2 billion) and impairment allowance for the year amounts to Rs. 505 million as at 31st March 2024 (2022: Rs. 556 million).

The Company measures the impairment of loans and receivables using the expected credit loss ("ECL") model as per SLFRS 9: Financial Instruments ("SLFRS 9"). The application of this standard requires management to exercise significant judgments in the determination of expected credit losses, including those relating to loans and receivables. Management applies significant judgment in the determination of estimated future cash flows, probabilities of default and forward-looking economic expectations.

Due to the significance of loans and receivables and the significant estimates and judgment involved, the impairment of these loans and receivables was considered to be a key audit matter.

The impairment provision is considered separately on an individual and collective impairment basis.

In calculating the impairment provision on a collective basis, statistical models are used. The following inputs to these models require significant management judgment:

- the probability of default (PD)
- the exposure at default (EAD)
- the loss given default (LGD)
- the economic factor adjustment (EFA)

In assessing loans and receivables on an individual basis, significant judgments, estimates and assumptions have been made by management to:

- determine if the loan, advance, lease or hire purchase is credit impaired
- evaluate the adequacy and recoverability of collateral
- determine the expected cash flows to be collected
- estimate the timing of the future cash flows

Key areas of significant judgments, estimates and assumptions used by management related to the impact of prevailing macroeconomic conditions in the assessment of the impairment allowance included the following:

- the probable impacts of prevailing macroeconomic conditions and related industry responses (e.g. government stimulus packages and debt moratorium relief measures granted by the Company)
- the determination on whether or not customer contracts have been substantially modified due to such stimulus and relief measures granted and related effects on the amount of interest income recognised on affected loans and advances
- forward-looking macroeconomic factors, including developing and incorporating macroeconomic scenarios, given the wide range of potential economic outcomes and probable impact from prevailing macroeconomic conditions that may affect future expected credit losses

The disclosures associated with impairment of loans and receivables are set out in the financial statements in the following notes:

- Note 11 - Impairment charge for lease rentals receivables, hire purchase and loans and advances
- Note 18.8 - Financial assets at amortised cost - Loan and advances
- Note 18.7 - Financial assets at amortised cost - Lease rental receivables and hire purchase

How our audit addressed the key audit matter

Our procedures included the following.

- We obtained an understanding of management's processes and tested controls over credit origination, credit monitoring and credit remediation.
- We evaluated the design, implementation and operating effectiveness of controls over estimation of impairment, which included assessing the level of oversight, review and approval of provision for credit impairment policies and procedures by the Board and management.

- We assessed the appropriateness of the accounting policies and loan impairment methodologies applied by comparing these to the requirements of SLFRS 9: Financial Instruments, particularly in light of the deteriorating and extremely volatile economic scenarios caused by prevailing macroeconomic conditions and government responses based on the best available information up to the date of our report.
- We test-checked the underlying calculations and data.

In addition to the above, we performed the following specific procedures:

For loans and receivables collectively assessed for impairment:

- We assessed the completeness of the underlying information in loans and receivables used in the impairment calculations by agreeing details to the company's source documents and information in IT systems.
- We assessed whether judgments, estimates and assumptions used by the management in the underlying methodology and the management overlays were reasonable. Our testing included evaluating the reasonableness of forward-looking information used, economic scenarios considered, and probability weighting assigned to each of those scenarios. Further, we assessed the reasonableness of the Company's considerations of the economic uncertainty relating to the prevailing macroeconomic conditions.

For loans and receivables individually assessed for impairment:

- We assessed the main criteria used by management for determining whether an impairment event had occurred.
- Where impairment indicators existed, we assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held.
- We evaluated the reasonableness of the provisions made with particular focus on the prevailing macroeconomic conditions on elevated risk industries, strategic responsive actions taken, collateral values, and the value and timing of future cashflows.

For loans and advances affected by government stimulus and debt moratorium relief measures granted:

- We assessed the appropriateness of judgments, reasonableness of calculations and data used to determine whether customer contracts have been substantially modified or not and to determine the resulting accounting implications.
- We evaluated the reasonableness of the interest income recognized on such affected loans and advances.

We also assessed the adequacy of the related financial statement disclosures.

Other information

Management is responsible for the other information. The other information comprises the information included in the Annual Report. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise whether it appears to be materially misstated.

When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines, is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain an audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of the most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as it appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4324.

BDO Partners

CHARTERED ACCOUNTANTS

Colombo

06th May 2024

HSR/kp

ASIA ASSET FINANCE PLC
STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED 31ST MARCH 2024

	Note	2023/2024 Rs.	2022/2023 Rs.
Interest income	4	5,682,401,629	5,391,701,835
Less: Interest expenses	5	(4,250,407,673)	(3,651,051,365)
Net interest income	6	1,431,993,956	1,740,650,470
Fees and commission income	7	909,003,149	602,384,100
Other operating income	8	12,146,299	12,249,081
Less: Operating expenses			
Personnel expenses	9	(450,124,348)	(413,680,997)
Depreciation and amortisation cost	10	(145,311,174)	(130,043,715)
General and administration expenses		(774,476,850)	(853,005,581)
Impairment charge for lease rentals receivable, hire purchase, loans and advances	11	(505,038,637)	(556,092,219)
Operating profit before value added tax on financial services	12	478,192,395	402,461,139
Taxes on financial services	13	(104,704,556)	(42,825,463)
Profit before income tax		373,487,839	359,635,676
Income tax expenses	14	(29,301,136)	(64,300,254)
Profit for the year		344,186,703	295,335,422
Earnings per share - basic	36.1	2.77	2.38
Earnings per share - diluted	36.2	2.08	1.78

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 75 form an integral part of these financial statements.

Colombo
6th May 2024



ASIA ASSET FINANCE PLC
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31ST MARCH 2024

	Note	2023/2024 Rs.	2022/2023 Rs.
Profit for the year		344,186,703	295,335,422
Other comprehensive income not to be re-classified to profit or loss in subsequent periods (net of tax)			
Surplus on revaluation reserve on PPE		43,511,089	-
Deferred tax charge on revaluation surplus		(13,053,327)	-
Actuarial gain on retirement benefit liability	33	12,730,464	8,482,160
Deferred tax reversal / (charge) on actuarial gain / (losses)	14	(3,819,139)	2,544,648
Other comprehensive income for the year net of tax		39,369,087	11,026,808
Total comprehensive income for the year		383,555,790	284,308,614

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 75 form an integral part of these financial statements.

Colombo
6th May 2024



	Note	31.03.2024 Rs.	31.03.2023 Rs.
ASSETS			
Cash and cash equivalents	16	3,887,692,725	2,063,128,895
Investment in reverse repurchase agreements against the treasury bills and bonds and other securities at amortised cost	17	1,755,472,300	2,444,830,041
Financial assets at amortised cost - Loans and advances	18.6	18,791,889,311	19,028,664,556
Financial assets at amortised cost - Lease rentals receivable and hire purchase	18.7	265,619,140	449,636,218
Other assets	19	130,133,093	127,559,654
Income tax receivable	20	-	27,593,548
Advances, deposits and prepayments	21	102,813,725	77,034,568
Financial assets - Fair value through other comprehensive income/available for sale	22	506,659	506,659
Property, plant and equipment	23	313,284,112	203,787,014
Right-of-use assets	24	186,439,061	180,642,208
Investment property	25	324,299,107	324,062,193
Deferred tax assets	14.2	38,550,183	37,422,647
Intangible assets	26	46,617,448	47,676,226
Total assets		25,843,316,864	25,012,544,427
LIABILITIES			
Financial liabilities - Due to banks	27	47,637,705	3,763,272
Other liabilities	28	558,959,632	228,236,872
Income tax payable	20	17,953,458	-
Financial liabilities - Other borrowed funds	29	6,050,495,203	6,062,427,129
Leased liability	30	219,443,235	199,066,151
Due to customers	31	14,485,136,166	13,274,968,572
Debenture	32	1,058,730,444	2,187,519,136
Retirement benefit obligation	33	39,543,426	45,722,833
Total liabilities		22,477,899,269	22,001,703,665
EQUITY			
Stated capital	34	2,205,463,801	2,205,463,801
Retained earnings		794,058,041	588,534,571
Statutory reserve fund and other reserves	35	365,895,753	216,842,390
Total equity		3,365,417,595	3,010,840,762
Total equity and liabilities		25,843,316,864	25,012,544,427
Contingent liabilities and commitments	37	897,183,504	534,583,622
Net assets value per share	36.3	27.10	24.24

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 75 form an integral part of these financial statements.

These financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.



Geethika Elwalage
Deputy General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.



R.J.A. Gunawardena
Director/Chief Executive Officer




R.A. Basnayake
Director

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31ST MARCH 2024

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Note	Ordinary share capital Rs.	Preference share capital Rs.	General reserve Rs.	Statutory reserve fund Rs.	Revaluation reserve fund Rs.	Regulatory loss allowance reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April 2022	1,791,478,691	413,985,110	3,000,000	82,270,012	-	-	464,777,293	2,755,511,106
Total comprehensive income for the year	-	-	-	-	-	-	-	-
Profit for the year	-	-	-	-	-	-	-	-
Other comprehensive income (net of tax)	-	-	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	-	-	-	-	-
Transactions with equity holders recognized directly in equity	-	-	-	-	-	-	-	-
Dividend paid - Preference shares	-	-	-	-	-	-	-	-
Transfers to reserves	-	-	-	-	-	-	-	-
Transfers to reserves	-	-	-	-	-	-	-	-
Total transactions with equity holders	-	-	-	-	-	-	-	-
Balance as at 31st March 2023	1,791,478,691	413,985,110	3,000,000	82,270,012	-	-	464,777,293	2,755,511,106
Balance as at 01st April 2023	1,791,478,691	413,985,110	3,000,000	139,131,735	-	-	588,534,571	3,010,840,762
Total comprehensive income for the year	-	-	-	-	-	-	-	-
Profit for the year	-	-	-	-	-	-	-	-
Transfers to reserves	-	-	-	-	-	-	-	-
Actuarial gain on retirement benefit liability	-	-	-	-	-	-	-	-
Deferred tax charge on revaluation surplus and actuarial gain	-	-	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	-	-	-	-	-
Transactions with equity holders recognized directly in equity	-	-	-	-	-	-	-	-
Dividend paid - Preference shares	-	-	-	-	-	-	-	-
Transfers to reserves	-	-	-	-	-	-	-	-
Transfers to reserves	-	-	-	-	-	-	-	-
Total transactions with equity holders	-	-	-	-	-	-	-	-
Balance as at 31st March 2024	1,791,478,691	413,985,110	3,000,000	207,969,075	30,457,762	124,468,915	794,058,041	3,365,417,595

Figures in brackets indicate deductions.

The accounting policies and notes on pages D6 to Y5 form an integral part of these financial statements.

Colombo
6th May 2024



ASIA ASSET FINANCE PLC
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31ST MARCH 2024

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	Note	2023/2024 Rs.	2022/2023 Rs.
Cash flows from operating activities		173,487,839	359,635,676
Profit before income tax			
Adjustments for			
Depreciation and amortisation	10	78,086,569	64,806,550
Amortisation of right-of-use asset	10	67,224,605	65,237,164
Interest expenses on lease liability	5	42,338,086	31,420,978
Impairment of lease, hire purchase, loans and advances	11	505,038,637	556,092,219
Early termination of loans, leases and hire purchase	4	(10,044,184)	17,618,156
Non-cash items included in profit before tax (WHT and Notional tax)		-	(268,538)
Gains from sale of property, plant and equipment, investment property and real estate inventories	4	1,077,345	(3,911,152)
Gain on expiration of operating lease agreement during the year		-	(2,166,889)
Provision for retirement benefit liability	33	14,035,862	8,762,394
Interest expense on other borrowings	5	1,183,003,442	1,150,280,663
Interest expense on debentures	5	361,151,772	380,783,577
Cash generated from operations before working capital changes		2,615,399,973	2,628,290,798
Changes in working capital			
Decrease in lease rentals receivable and hire purchase		228,079,868	644,983,536
Increase in loans and advances		(302,281,998)	(4,883,695,032)
Increase in other receivables		(2,573,439)	(4,407,550)
Increase in deposits and prepayments		(25,779,157)	(23,785,190)
Increase in deposits from customers		1,210,167,594	4,579,788,301
Increase in other non-financial liabilities		330,029,127	194,733,490
Net cash from operating activities before income tax payments		4,053,041,968	3,135,908,353
Taxes paid	20	(1,754,130)	(2,471,149)
Gratuity paid	33	(7,484,505)	(4,318,400)
Lease rent advance paid	30	(94,982,460)	(82,804,290)
Dividend paid		(28,978,958)	(28,978,958)
Net cash generated from operating activities		3,919,841,915	3,017,335,556
Cash flows from investing activities			
Acquisition of property, plant and equipment	23	(142,266,165)	(74,641,867)
Acquisition of intangible assets	24	(8,472,675)	(12,443,299)
Acquisition/ additions to investment property	21	(1,452,617)	(700,000)
Proceeds from sale of investment property	21	-	37,500,000
Settlement for intangible asset		-	(1,318,500)
Proceeds from sale of property, plant and equipment		8,557,452	2,808,208
Net cash used in investing activities		(143,634,425)	(48,793,458)
Cash flows from financing activities			
Repayment of other borrowed funds	29	(5,037,935,369)	(4,585,280,017)
Proceeds from other borrowed funds	29	3,843,000,000	4,039,000,000
Repayment of debenture	32.4	(1,489,940,465)	(266,141,780)
Net cash generated used in financing activities		(2,684,875,834)	(812,421,797)
Net increase in cash and cash equivalents		1,091,331,656	2,156,120,301
Cash and cash equivalents at the beginning of the year	A	4,504,195,664	2,348,075,363
Cash and cash equivalents at the end of the year	B	5,595,527,320	4,504,195,664
At the beginning of the year			Note A
Cash and cash equivalents		2,063,128,895	1,397,632,551
Investment in reverse repurchase agreements against the treasury bills and bonds at amortised cost		2,444,830,041	989,433,452
Bank overdraft		(3,763,272)	(38,990,640)
		4,504,195,664	2,348,075,363
At the end of the year			Note B
Cash and cash equivalents		3,887,692,725	2,063,128,895
Investment in reverse repurchase agreements against treasury bills, bonds and other securities at amortised cost		1,755,472,300	2,444,830,041
Bank overdraft		(47,637,705)	(3,763,272)
		5,595,527,320	4,504,195,664

Figures in brackets indicate deductions.

The accounting policies and notes on pages 06 to 75 form an integral part of these financial statements.

Colombo
6th May 2024



ASIA ASSET FINANCE PLC

MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

This section provides general information about Asia Asset Finance PLC.

1.1 General

Asia Asset Finance PLC is a Public Limited Liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company has been registered with the Central Bank of Sri Lanka as a finance company under the provisions of the Finance Business Act No. 42 of 2011 (formerly the Finance Companies Act No. 78 of 1988). The Company was re-registered under the Companies Act No. 07 of 2007. The registered office of the Company and the principal place of business are located at No 76, Park Street, Colombo 02.

1.2 Principal activities and nature of operations

The principal activities of the Company comprise granting leases, hire purchase, mortgage loans, personal loans, group personal loans, gold loans, micro finance loans, pledge loans, cheque and invoice discounting and mobilisation of public deposits.

There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.3 Parent entity and ultimate parent entity

The Company's immediate and ultimate parent entity as at 31st March 2024 is Muthoot Finance Limited which was incorporated in India.

1.4 Number of employees

The staff strength of the Company as at 31st March 2024 was 564 (483 as at 31st March 2023).

2. BASIS OF PREPARATION AND OTHER MATERIAL ACCOUNTING POLICY INFORMATION

This section provides additional information about the overall basis of preparation that the directors consider is useful and relevant in understanding these financial statements.

- a summary of other significant accounting policies affecting the results and financial position of the Company, including changes in accounting policies and disclosures during the year
- standards that have been issued which the Company has not adopted.

2.1 Basis of measurement

The financial statements of the Company have been prepared on the historical cost basis except for the following items in the statement of financial position:

Item	Basis of measurement
Financial assets measured at fair value through profit or loss	Fair value
Financial assets measured at fair value through other comprehensive income	Fair value
Retirement benefit obligation	Liability is recognised as the present value of the retirement obligation plus unrecognised actuarial gains less unrecognised past service cost and unrecognised actuarial losses.
Property, plant and equipment: Motor vehicles	Fair value



ASIA ASSET FINANCE PLC

MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

2.2 Going concern

The Company has prepared the financial statements for the year ended 31 March 2024 on the basis that it will continue to operate as a going concern. In determining the basis of preparing the financial statements for the year ended 31st March 2024, based on available information, the management has assessed the prevailing macroeconomic conditions and its effect on the Company and the appropriateness of the use of the going concern basis. It is the view of the management that there are no material uncertainties that may cast significant doubt on the Company's ability to continue to operate as a going concern.

The Company recorded strong improvement in profitability compared with the previous year on the back of a fast recovery momentum with most of the businesses reaching pre COVID-19 levels of operations post the easing of restrictions. The management has formed judgment that the Company has adequate resources to continue in operational existence for the foreseeable future driven by the continuous operationalisation of risk mitigation initiatives and monitoring of business continuity and response plans at each business unit level along with the financial strength of the Company. The Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future and hence, has adopted the going concern basis in preparing and presenting these Financial Statements.

2.3 Statement of compliance

The financial statements of the Company as at 31st March 2024 and for the year then ended, have been prepared and presented in accordance with Sri Lanka Accounting Standards (SLFRSs and LKAS) laid down by the Institute of Chartered Accountants of Sri Lanka and are in compliance with the requirements of the Companies Act No. 07 of 2007, the Finance Business Act No 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.

These financial statements include the following components.

- a statement of profit or loss and other comprehensive income providing the information on the financial performance of the Company for the year under review
- a statement of financial position providing the information on the financial position of the Company as at the year end
- a statement of changes in equity depicting all changes in shareholders' equity during the year under review of the Company
- a statement of cash flows providing the information to the users, on the ability of the Company to generate cash and cash equivalents and the needs of the entity to utilize those cash flows
- summary of material accounting policy

2.4 Responsibility for financial statements

The Board of Directors is responsible for the preparation and presentation of these financial statements as per the provision of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards.

2.5 Approval of financial statements by the Board of Directors

The financial statements of Asia Asset Finance PLC for the year ended 31st March 2024 (including comparatives) were approved and authorised for issue on 6th May 2024 in accordance with a resolution of the Board of Directors on 6th May 2024.



2.6 Presentation of financial statements

The assets and liabilities in the statement of financial position are grouped by nature and listed in an order that reflect their relative liquidity and maturity pattern. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) has been presented in Note 42 (current/non-current analysis). No adjustments have been made for inflationary factors affecting the financial statements.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of comprehensive income unless it is required or permitted by an accounting standard or interpretation.

2.7 Comparative information

Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the financial statements in order to enhance the understanding of the current period's financial statements and to enhance the inter period comparability. The presentation and classification of the financial statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.8 Functional and presentation currency

The financial statements have been presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.9 Materiality and aggregation

In compliance with the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements', each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, unless they are immaterial.

2.10 Rounding

The amounts in the financial statements have been rounded-off to the nearest Rupee, except where it is otherwise indicated as permitted by the Sri Lanka Accounting Standard - LKAS 01 on 'Presentation of Financial Statements'.

2.11 Foreign currency transactions and balances

All foreign currency transactions are translated into the functional currency which is the Sri Lankan Rupee (Rs.) at the spot exchange rate prevailing at the date of the transactions being effected. In this regard, the Company's practice is to use the middle rate of exchange ruling at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot rate of exchange ruling at the reporting date. The foreign currency gain or loss on monetary items is the difference between the amortised cost in the functional currency at the beginning of the year adjusted for effective interest and payments during the year and the amortised cost in foreign currency translated at the exchange rate at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the date of recognition. Non-monetary items measured at fair value in a foreign currency are translated using the spot exchange rates at the date when the fair value was determined.



2.12 Significant accounting judgments, estimates and assumptions

The preparation of the financial statements of the Company in conformity with SLFRS and LKAS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Further, the management is also required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Actual results may differ from these estimates.

Accounting judgments, estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Impact of prevailing macroeconomic conditions

The prevailing macroeconomic conditions and their related implications have increased the uncertainty of estimates made in the preparation of the financial statements. The estimation uncertainty is associated with:

- the extent and duration of the disruption to businesses arising from the prevailing macroeconomic conditions and the related actions of stakeholders such as government, businesses and customers.
- the extent and duration of the prevailing macroeconomic conditions due to impact on GDP, capital markets, credit risk of customers, impact of unemployment and possible decline in consumer discretionary spending.
- the effectiveness of Government and Central Bank measures that have been put in place in response to the prevailing circumstances.

The significant accounting estimates impacted by these forecasts and associated uncertainties are related to impairment of financial assets and recoverable amount assessments of non-financial assets, recoverable value of property, plant and equipment and investment properties.

The impact of prevailing macroeconomic conditions on accounting estimates is discussed under the relevant notes to these financial statements.

Significant accounting judgments, estimates and assumptions involving uncertainty are discussed below, whereas the respective carrying amounts of such assets and liabilities are given in the related notes.

2.12.1 Classification of financial assets and liabilities

As per SLFRS 9, the Significant Accounting Policies of the Company provide scope for financial assets to be classified and subsequently measured into different categories, namely, at Amortised Cost, Fair Value through Other Comprehensive Income (FVOCI) and Fair Value Through Profit or Loss (FVTPL) based on the following criteria:

- The entity's business model for managing the financial assets is set out in Note 3.1.3.1. Page No 15.
- The contractual cash flow characteristics of the financial assets is set out in Note 3.1.3.2. Page No 15.



MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS**2.12.2 Impairment Losses on Financial assets**

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses. These estimates are based on the assumptions of a number of factors and the actual results may differ, resulting in future changes to the allowance.

- Refer Note 3.1.11 Page No 20 for more details relating to impairment loss assessment on financial assets.

2.12.3 Taxation

The Company is subject to income taxes and other taxes including VAT on financial services. Significant judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to interpretation of the applicability of tax laws, at the time of preparation of these financial statements.

The Company recognises assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax amounts in the period in which the determination is made.

2.12.4 IFRIC Interpretation 23 uncertainty over income tax treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12 nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments. The Interpretation specifically addresses the following:

- whether an entity considers uncertain tax treatments separately
- the assumptions an entity makes about the examination of tax treatments by taxation authorities
- how an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits, and tax rates
- how an entity considers changes in facts and circumstances

The Company applies significant judgment in identifying uncertainties over income tax treatments, and when it operates in a complex environment, it assesses whether the Interpretation has an impact on its consolidated financial statements.

Upon adoption of the Interpretation, the Company considers whether it has any uncertain tax positions, and whether it is probable that its tax treatments will be accepted by the taxation authorities.

2.12.5 Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax planning strategies.



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MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

2.12.6 Retirement benefit obligation

The cost of the retirement benefit obligation of employees is determined using an actuarial valuation. The actuarial valuation is based on assumptions concerning the rate of interest, rate of salary increase, staff turnover, and retirement age and going concern of the Company. Due to the long-term nature of such obligation, these estimates are subject to significant uncertainty. Further details are given in Note 33, Page No 53 of the financial statements.

2.12.7 Useful lives of property, plant and equipment, investment property and intangible assets

The Company depreciates/amortises the property plant and equipment, investment property and intangible assets using the straight line method over their estimated useful lives after taking into account their estimated residual values. The estimated useful life reflects the management's estimate of the period that the Company intends to derive future economic benefits from the use of the property, plant and equipment, investment property and intangible assets. The residual value reflects the management's estimated amount that the Company would currently obtain from the disposal of the asset, after deducting the estimated disposal, as if the asset were already of the age and in the conditions expected at the end of its useful life. Changes in the expected level of usage and technological developments could affect the economic useful lives and the residual values of these assets which could then consequentially impact future depreciation charges.

2.12.8 Leases

2.12.8.1 Determination of the lease term for lease contracts with renewal and termination options (Company as a lessee)

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The Company has several lease contracts that include extension and termination options. The Company applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination option. After the commencement date, the Company reassesses the lease term if there is a significant event or change in circumstances that is within its control that affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation of the leased asset).

2.12.8.2 Estimating the incremental borrowing rate

As the Company cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Company estimates the IBR using observable input when available and is required to make certain entity-specific adjustments.



2.13 Changes in Accounting Policies

The Company has consistently applied the Accounting Policies to all periods presented in these financial statements, except for the changes arising out of amendments to Accounting Standards as set out below.

(a) Changes to already existing accounting standards**(i) Amendments to SLFRS 16 Covid-19 Related Rent Concessions beyond 30th June 2021**

The amendments provide relief to lessees from applying SLFRS 16 guidance on lease modification accounting for rent concessions arising as a direct consequence of the Covid-19 pandemic. As a practical expedient, a lessee may elect not to assess whether a Covid-19 related rent concession from a lessor is a lease modification.

A lessee that makes this election accounts for any change in lease payments resulting from the Covid-19 related rent concession in the same way it would account for the change under SLFRS 16, if the change were not a lease modification. The Company has applied practical expedients for Covid-19 related rent concessions which were extended up to March 2024.

(b) New standards, interpretations and amendments adopted from 1st January 2023**(i) Disclosure of Accounting Policies (Amendments to LKAS 01 Presentation of Financial Statements and SLFRS Practice Statement 2 Making Materiality Judgments)**

In February 2021, the IASB issued amendments to IAS 1 and IFRS Practice Statement 2. The amendments aim to make accounting policy disclosures more informative by replacing the requirement to disclose 'significant accounting policies' with 'material accounting policy information'. The amendments also provide guidance under what circumstance, the accounting policy information is likely to be considered material and therefore, requires disclosure.

These amendments have no effect on the measurement or presentation of any items in the financial statements of the Company but affect the disclosure of accounting policies of the Company.

(ii) Definition of Accounting Estimates (Amendments to LKAS 8 Accounting Policies, Changes in Accounting Estimates and Errors)

The amendments to LKAS 8, which added the definition of accounting estimates, clarify that the effects of a change in an input or measurement technique are changes in accounting estimates, unless resulting from the correction of prior period errors. These amendments clarify how entities make the distinction between changes in accounting estimate, changes in accounting policy and prior period errors. These amendments had no effect on the financial statements of the Company.



(iii) **Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12 Income Taxes)**

In May 2021, the IASB issued amendments to IAS 12, which clarify whether the initial recognition exemption applies to certain transactions that result in both an asset and a liability being recognised simultaneously (e.g. a lease in the scope of IFRS 16). The amendments introduce an additional criterion for the initial recognition exemption, whereby the exemption does not apply to the initial recognition of an asset or liability which at the time of the transaction, gives rise to equal taxable and deductible temporary differences. These amendments had no effect on the annual financial statements of the Company.

(iv) **International Tax Reform - Pillar Two Model Rules (Amendment to IAS 12 Income Taxes) (effective immediately upon the issue of the amendments and retrospectively)**

In December 2021, the Organisation for Economic Co-operation and Development (OECD) released a draft legislative framework for a global minimum tax that is expected to be used by individual jurisdictions. The goal of the framework is to reduce the shifting of profit from one jurisdiction to another in order to reduce global tax obligations in corporate structures. In March 2022, the OECD released detailed technical guidance on Pillar Two of the rules. Stakeholders raised concerns with the IASB about the potential implications on income tax accounting, especially accounting for deferred taxes, arising from the Pillar Two model rules. The IASB issued the final Amendments (the Amendments) International Tax Reform - Pillar Two Model Rules, in response to stakeholder concerns on 23 May 2023.

(c) **New standards and amendments issued but not yet effective or early adopted in 2024**

The following amendments and improvements are not expected to have a significant impact on the Company's financial statements.

- **Liability in a Sale and Leaseback (Amendments to SLFRS 16 Leases)** - Mandatorily effective for periods beginning on or after 1st January 2024
- **Classification of Liabilities as Current or Non-Current (Amendments to LKAS 1 Presentation of Financial Statements)** - Mandatorily effective for periods beginning on or after 1st January 2024
- **Non-current Liabilities with Covenants (Amendments to LKAS 1 Presentation of Financial Statements)** - Mandatorily effective for periods beginning on or after 1st January 2024
- **Supplier Finance Arrangements (Amendments to LKAS 7 Statement of Cash Flows and SLFRS 7 Financial Instruments: Disclosures)** - Mandatorily effective for periods beginning on or after 1st January 2024

(d) **The following amendments are effective for the period beginning 01st January 2025**

- **Lack of Exchangeability (Amendments to LKAS 21 The Effects of Changes in Foreign Exchange Rates)** - Mandatorily effective for periods beginning on or after 1st January 2025

The Company will conduct a gap analysis on the applicability of Sustainability Accounting standards IFRS S1 - General requirements for Disclosure of Sustainability-related financial information and IFRS S2 - Climate related Disclosures and will make appropriate disclosures commencing from the year ending 31st March 2025.



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MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

3. MATERIAL ACCOUNTING POLICY

3.1. Financial instruments - initial recognition, classification and subsequent measurement

3.1.1 Date of recognition

The Company initially recognises loans and advances, deposits and subordinated liabilities, etc., on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. Refer Notes 3.1.3 and 3.1.4 Page No 14 and Page No 17 for further details on classification of financial instruments.

A financial asset or financial liability is measured initially at fair value plus or minus transaction costs that are directly attributable to its acquisition or issue, except in the case of financial assets and financial liabilities at fair value through profit or loss as per SLFRS 9 and trade receivables that do not have a significant financing component as defined by SLFRS 15.

The transaction cost in relation to financial assets and financial liabilities at fair value through profit or loss is dealt with through the Statement of profit or loss.

Trade receivables that do not have significant financing components are measured at their transaction price at initial recognition as defined in SLFRS 15.

When the fair value of financial instruments (except trade receivables that do not have significant financing components) at initial recognition differs from the transaction price, the Company accounts for the Day 1 profit or loss, as described below.

3.1.2.1 "Day 1" profit or loss

When the transaction price of the instrument differs from the fair value at origination and fair value is based on a valuation technique using only inputs observable in market transactions, the Company recognises the difference between the transaction price and fair value in net gains/(losses) from trading. In those cases, where the fair value is based on models for which some inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognised in profit or loss when the inputs become observable, or when the instrument is de-recognised.

3.1.3 Classification and subsequent measurement of financial assets

As per SLFRS 9, the Company classifies all of its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either;

- Amortised cost
- Fair value through other comprehensive income (FVOCI)
- Fair value through profit or loss (FVTPL)

The subsequent measurement of financial assets depends on their classification.



3.1.3.1 Business model assessment

The Company makes an assessment of the objective of a business model in which an asset is held at a portfolio level and not assessed on instrument-by-instrument basis because this best reflects the way the business is managed and information is provided to management.

The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of the assets
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Company's stated objective for managing the financial assets is achieved and how cash flows are realised.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward

3.1.3.2 Assessment of whether contractual cash flows are solely the payments of principal and interest (SPPI test)

As a second step of its classification process the Company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

For the purposes of this assessment, "principal" is defined as the fair value of the financial asset on initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs, as well as profit margin.

In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely the payments of principal and interest on the principal amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

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In assessing whether the contractual cash flows are solely the payments of principal and interest on the principal amount outstanding, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers:

- contingent events that would change the amount and timing of cash flows
- leverage features
- prepayment and extension terms
- terms that limit the Company's claim to cash flows from specified assets
- features that modify consideration of the time value of money

Refer Notes 3.1.3.3 to 3.1.3.5. below for details on different types of financial assets recognised in the Statement of Financial Position. (SOPF)

3.1.3.3 Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely the payments of principal and interest on the principal amount outstanding

Financial assets measured at amortised cost are given in Note 3.1.3.3.1 and 3.1.3.3.2 below.

3.1.3.3.1 Loans and advances to customers

Loans and advances to customers include loans and advances, and lease and hire purchase receivables of the Company.

Details of "Loans and advances to customers" are given in Note 18.

3.1.3.3.2 Investment in reverse repurchase agreements against the treasury bills and bonds

When the Company purchases a financial asset and simultaneously enters into an agreement to resale the asset (or a similar asset) at a fixed price on a future date (reverse repo), the arrangement is accounted for as a financial asset in the SOPF reflecting the transaction's economic substance as a loan granted by the Company. Subsequent to initial recognition, these securities issued are measured at amortised cost using the EIR with the corresponding interest income/receivable being recognised as interest income in profit or loss.

Details of "Investment in reverse repurchase agreements against the treasury bills and bonds" are given in Note 17.

3.1.3.3.3 Cash and cash equivalents

Details of "Cash and cash equivalents" are given in Note 16, Page No 36.

3.1.3.4 Financial assets measured at FVOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income.



3.1.3.4.1 Debt instruments measured at FVOCI

Debt instruments are measured at FVOCI if they are held within a business model whose objective is to hold for collection of contractual cash flows and for selling financial assets, where the asset's cash flows represent payments that are solely the payments of principal and interest on principal outstanding.

3.1.3.4.2 Equity instruments designated at FVOCI

Upon initial recognition, the Company elects to classify irrevocably some of its equity investments held for strategic and statutory purposes as equity instruments at FVOCI. Details of "Equity instruments at FVOCI" are given in Note 22, Page No 42.

3.1.3.5 Financial assets measured at FVTPL

As per SLFRS 9, all financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL. Financial assets at fair value through profit or loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

3.1.4 Classification and subsequent measurement of financial liabilities

As per SLFRS 9, the Company classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category are:
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

3.1.4.1 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. The Company does not have any financial liabilities at fair value through profit or loss.

3.1.4.2 Financial liabilities at amortised cost

Financial liabilities issued by the Company that are not designated at FVTPL are classified as financial liabilities at amortised cost under "Due to banks", "Due to customers", "Other borrowings" or "Subordinated debts" as appropriate, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity shares. The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.



The EIR amortisation is included in "Interest expense" in the statement of profit or loss. Gains and losses too are recognised in the statement of profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

3.1.4.2.1 Due to banks

Details of "Due to banks" are given in Note 27. Page No 48.

3.1.4.2.2 Due to customers

Details of "Due to customers" are given in Note 31. Page No 51.

3.1.4.2.3 Other borrowed funds

Details of "Other borrowed funds" are given in Note 29. Page No 49.

3.1.4.2.4 Debentures

Details of "Debentures" are given in Note 32. Page No 52.

3.1.5 Reclassification of financial assets and liabilities

As per SLFRS 9, Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the Company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

3.1.5.1 Timing of reclassification of financial assets

Consequent to the change in the business model, the Company reclassifies all affected assets prospectively from the first day of the first reporting period following the change in the business model (the reclassification date). Accordingly, prior periods are not restated.

3.1.5.2 Measurement of re-classification of financial assets

3.1.5.2.1 Re-classification of Financial Instruments at 'Fair value through profit or loss'

- **To Fair value through other comprehensive income**

The fair value on re-classification date becomes the new gross carrying amount. The EIR is calculated based on the new gross carrying amount. Subsequent changes in the fair value are recognised in OCI.

- **To Amortised Cost**

The fair value on re-classification date becomes the new carrying amount. The EIR is calculated based on the new gross carrying amount.

3.1.5.2.2 Reclassification of Financial Instruments at 'Fair value through other comprehensive income'

- **To Fair value through profit or loss**

The accumulated balance in OCI is reclassified to profit and loss on the reclassification date.



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- **To Amortised Cost**

The financial asset is re-classified at fair value. The cumulative balance in OCI is removed and is used to adjust fair value on the reclassification date. The adjusted amount becomes the amortised cost.

EIR determined at initial recognition and gross carrying amount are not adjusted as a result of reclassification.

3.1.5.2.3 **Reclassification of Financial Instruments at "Amortised Cost"**

- **To Fair value through other comprehensive income**

The asset is remeasured to fair value, with any difference recognised in OCI. EIR determined at initial recognition is not adjusted as a result of re-classification.

- **To Fair value through profit or loss**

The fair value on the reclassification date becomes the new carrying amount. The difference between amortised cost and fair value is recognised in profit and loss.

3.1.6 **De-recognition of financial assets and financial liabilities**3.1.6.1 **Financial assets**

The Company de-recognises a financial asset (or where applicable a part thereof) when the contractual rights to the cash flows from the financial asset expire or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all risks and rewards of ownership and it does not retain control of the financial asset.

3.1.6.2 **Financial liabilities**

The Company de-recognises a financial liability when its contractual obligations are discharged, cancelled or expire.

3.1.7 **Modification of financial assets and financial liabilities**3.1.7.1 **Financial assets**

If the terms of a financial asset are modified, the Company evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value.

As per SLFRS 9, if the cash flows of the modified asset carried at amortised cost are not substantially different, then the modification does not result in derecognition of the financial asset. In this case, the Company recalculates the gross carrying amount of the financial asset and recognises the amount arising from adjusting the gross carrying amount as a modification gain or loss in profit or loss. If such a modification is carried out because of financial difficulties of the borrower, then the gain or loss is presented together with impairment losses. In other cases, it is presented as interest income.



3.1.7.2 Financial liabilities

Where an existing financial liability is replaced by another from the same lender on substantially different terms or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in profit or loss.

3.1.8 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the SOFP if, and only if, there is currently an enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

Income and expenses are presented on a net basis only when permitted under SLFRSs, or for gains and losses arising from a group of similar transactions such as in the Company's trading activity.

3.1.9 Amortised cost and gross carrying amount

The "amortised cost" of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any ECL allowance.

The "gross carrying amount of a financial asset" is the amortised cost of a financial asset before adjusting for any ECL allowance.

3.1.10 Fair value of financial instruments

Fair value measurement of financial instruments including the fair value hierarchy is explained in Note 43.

3.1.11 Identification and measurement of impairment of financial assets

3.1.11.1 Overview of the ECL principles

As per SLFRS 9, the Company records an allowance for expected credit losses for loans and advances to customers, debt and other financial instruments measured at amortised cost, debt instruments measured at fair value through other comprehensive income and loan commitments.

SLFRS 9 outlines a "three-stage" model for impairment based on changes in credit quality since initial recognition.

- Stage 1: A financial asset that is not originally credit-impaired on initial recognition is classified in Stage 1. Financial instruments in Stage 1 have their ECL measured at an amount equal to the proportion of lifetime expected credit losses (LTECL) that result from default events possible within the next 12 months (12M ECL).
- Stage 2: If a significant increase in credit risk (SICR) since origination is identified, it is moved to Stage 2 and the Company records an allowance for LTECL. Refer Note 3.1.11.2 for a description on how the Company determines when a significant increase in credit risk has occurred.



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MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

- Stage 3: If a financial asset is credit-impaired, it is moved to Stage 3 and the Company recognises an allowance for LTECL, with probability of default at 100%. Refer Note 3.1.11.4 for a description on how the Company defines credit impaired and default.
- Purchased or originated credit impaired (POCI) financial assets: Financial assets which are credit impaired on Initial recognition are categorised within Stage 3 with a carrying value already reflecting the lifetime expected credit losses. The Company does not have POCI loans as at the reporting date.

The key judgments and assumptions adopted by the Company in addressing the requirements of SLFRS 9 are discussed below:

3.1.11.2 Significant increase in credit risk

When determining whether the risk of default on a financial instrument has increased significantly since initial recognition, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information analysis, based on the Company's historical experience and expert credit assessment including forward looking information.

The Company considers an exposure to have significantly increased credit risk when contractual payments of a customer are more than 60 days past due in accordance with the rebuttable presumption in SLFRS 9.

The Company individually reviews at each reporting date, loans and advances above a predefined threshold to identify whether the credit risk has increased significantly since origination, before an exposure is in default. Such indicators include, inter alia:

- when reasonable and supportable forecasts of future economic conditions directly affect the performance of a customer/group of customers, portfolios or instruments
- when there is a significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers or instruments
- when the value of collateral is significantly reduced and/or realisability of collateral is doubtful
- When a customer is subject to litigation that significantly affects the performance of the credit facility
- modification of terms resulting in concessions, including extensions, deferment of payments, waiver of covenants
- when the customer is deceased/insolvent
- when the Company is unable to contact or find the customer

Credit facilities/exposures which have one or more of the above indicators are treated as facilities with significant increase in credit risk and assessed accordingly in ECL computations. The Company regularly monitors the effectiveness of the criteria used to identify significant increase in credit risk to confirm that the criteria is capable of identifying significant increase in credit risk before an exposure is in default.

For debt instruments having an external credit rating, which are measured at amortised cost or at FVOCI, the Company determines significant increase in credit risk based on the generally accepted investment/non-investment grade definitions published by international rating agencies. Debt instruments are moved to stage 2 if their credit risk increases to the extent that they are no longer considered investment grade.



3.1.11.3 COVID -19 Impact on Loan and advances

The Company has provided reliefs such as deferment of repayment terms of credit facilities, for the affected businesses and individuals due to COVID-19 in line with the directions issued by the CBSL. Utilisation of a payment deferral programme does not, all else being equal, automatically trigger a SICR. As such, key issue will be to distinguish between cases where the payment holidays provide relief from short-term liquidity constraints impacting the borrower that do not amount to a SICR. Given the high degree of uncertainty and unprecedented circumstances in the short-term economic outlook, the Management exercised judgment in the assessment of the impact of the COVID-19 outbreak on the loans and advances portfolio, relying more on the long-term outlook as evidenced by past experience and taking into consideration various relief measures including concessionary financing and payment moratorium.

CBSL issued various circulars relating to moratorium/debt relief credit support to customers and industries through schemes offered by the Government to support recovery of the economy. Bank has taken into account these circulars in the recognition of interest income, stage wise classification of facilities and computation of expected credit loss. All moratoriums / debt relief credit support schemes granted to customers based on regulations issued by Central Bank of Sri Lanka ended during 2022.

The impact of the outbreak has been assessed and adjusted in these financial statements based on the available information and assumptions made as at reporting date in line with the guidelines issued by the CBSL and the CA Sri Lanka. In response to COVID-19 and expectations of economic impacts, key assumptions used in the calculation of ECL have been revised. As at the reporting date, the expected impacts of COVID-19 have been captured via the modelled outcome as well as a separate management overlay reflecting the considerable uncertainty remaining in the modelled outcome given the unprecedented impacts of COVID-19.

3.1.11.4 Definition of default and credit impaired assets

The company considers loans and advances to customers to be defaulted when:

- The borrower is unlikely to pay its obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- The borrower becomes 90 days past due on its contractual payments.

In addition, the Company classifies the financial investments under Stage 3 when the external credit rating assigned to the particular investment is in "default".

In assessing whether a borrower is in default, the Company reviews its individually significant loans and advances above a predefined threshold at each reporting date. The Company considers non-performing credit facilities/customers with one or more of indicators set out in Note 3.1.11.2 above as credit impaired.

3.1.11.5 Movement between the stages

Financial assets can be transferred between the different categories (other than POCI) depending on their relative change in credit risk since initial recognition. Financial instruments are transferred out of stage 2 if their credit risk is no longer considered to be significantly increased since initial recognition based on the assessments described in Note 3.1.11.2. Financial instruments are transferred out of stage 3 when they no longer exhibit any evidence of credit impairment as described above.

MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

3.1.11.6 Grouping financial assets measured on collective basis

The Company calculates ECLs either on a collective or an individual basis. Asset classes where the Company calculates ECL on individual basis include credit impaired facilities of individually significant customers.

Those financial assets for which, the Company determines that no provision is required under individual impairment are then collectively assessed for ECL. For the purpose of ECL calculation on collective basis, financial assets are grouped on the basis of similar risk characteristics. Loans and advances to customers are grouped into homogeneous portfolios, based on a combination of product and customer characteristics.

3.1.11.7. The Calculation of Expected Credit Loss Principle (ECL)

The Company calculates ECL based on 3 probability weighted scenarios to measure expected cash shortfalls, discounted at an approximation to the EIR.

A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculation are outlined below and the key elements are as follows:

- **PD:** The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio. The Gold Loan PD calculation is computed default over a given time horizon.
- **EAD:** Exposure At Default is the estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of the principle and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities and accrued financing income from missed payments.
- **LGD:** Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lenders would expect to receive, including realisation of any collateral. The weighted average LGDs are used and the weighted average LGD is determined by dividing the total loss for the year by the total exposure of settled defaults of each year.
- **LGD Gold Loan:** AAF uses non-performing gold loans which are over 90 days past due for LGD calculation of gold loans. Since the physical gold is in the custody of AAF, a forecasted gold value of respective facility is calculated assuming 10% drop of current gold market price. The ratio between total receivable and the difference in forecasted gold value and total receivable is considered as LGD ratio for respective facilities. A simple average of the LGD of all non-performing gold loan is considered as the LGD ratio of gold loan product.

3.1.11.8 Forward-looking information

The Company incorporates forward-looking information into both its assessment as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL.



ASIA ASSET FINANCE PLC

MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

The Company has identified key drivers of credit risk both quantitative and qualitative for various portfolio segments. Quantitative economic factors are based on economic data and forecasts published by CBSL and supranational organisations such as IMF.

Quantitative drivers of credit risk

GDP growth
Unemployment rate
Interest rate (AWPLR)
Rate of inflation
Exchange rate

Qualitative drivers of credit risk

Status of industry business
Regulatory impact
Government policies

3.1.12 Write-off of loans and advances

Loans (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where loans are secured, this is generally after receipt of any proceeds from the realisation of security.

3.2. Property, plant and equipment

Details of "Property, plant and equipment" are given in Note 23. Page No 42.

3.2.1. Depreciation

Details of "Depreciation" are given in Note 10. Page No 31.

3.3. Intangible assets

Details of "Intangible assets" are given in Note 26. Page No 48.

Amortisation recognised during the year in respect of intangible assets is included under the item of "Amortisation of intangible assets" under "Depreciation and amortisation cost" in statement of profit or loss. Refer Note 10. Page No 31.

3.4. Investment property

Details of "Investment Property" are given in Note 25. Page No 47.

3.5. Impairment of non-financial assets

The carrying amounts of the Company's non-financial assets, other than deferred tax assets are reviewed at each reporting date to assess whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing of an asset is required, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use. Where the carrying amount of an asset or cash - generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share price for publicly traded subsidiaries or other available fair value indicators.

Impairment losses are recognised in the statement of profit or loss, except that, impairment losses in respect of property, plant and equipment previously revalued are recognised against the revaluation reserve through the statement of other comprehensive income to the extent that it reverses a previous revaluation surplus.

The Company has not determined impairment as at the reporting date due to the COVID-19 pandemic, and each department functions under the business continuity plan as per the Company's risk management strategy, allowing operations to function through alternate working arrangements, whilst strictly adhering to and supporting government directives.

3.6 Deferred tax assets

Details of "Deferred tax assets" are given in Note 14. Page No 33.

3.7 Real estate inventories

Real estate inventories represent the purchase value of properties acquired for re-sale. Carrying value of the real estate stocks as at the reporting date represents the purchase value of properties and any subsequent expenditure incurred on developing of such properties.

3.8 Fiduciary assets

The Company provides trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity are not reported in these financial statements as they do not belong to the Company.

3.9 Other assets

Details of "Other assets" are given in Note 19. Page No 42.

3.10 Provisions

Provisions are recognised in the statement of financial position when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provision, Contingent Liabilities and Contingent Assets'. The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the statement of income net of any reimbursement.

3.11 Leases

3.11.1 Right-Of-Use Assets - Company as a Lessee

Details of "Rights of use assets" are given in Note 24. Page No 45.

3.11.2 Lease Liability

Details of "Lease liability" are given in Note 30. Page No 51.

3.11.3 Finance leases - Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the Company recognises assets held under finance lease in the statement of financial position and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value of lease payments to equal the fair value of the underlying asset and initial direct costs. The Company's net investment in lease is included in Note 18 on "Financial assets at amortised cost - Lease rentals receivable and hire purchase", as appropriate. The finance income receivable is recognised in "interest income" over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.

MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

3.11.4 Operating leases - Company as a lessor

As per SLFRS 16, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset. The Company recognises lease payments from operating leases as income on a straight-line basis. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

3.12 Other liabilities

Other liabilities include related party payables, VAT on Financial Services payable, retirement benefit obligation and other amount payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

3.12.1.1 Value Added Tax (VAT) on Financial Services

Value Added Tax (VAT) on Financial Services is calculated in accordance with Value Added Tax Act No. 14 of 2002 and subsequent amendments thereto. The base for value added tax computation of value added tax on financial services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rates.

3.12.1.2 Social Security Contribution Levy (SSCL)

Social Security Contribution Levy (SSCL) was imposed with effect from October 01, 2022, at the rate of 2.5% by the Social Security Contribution Levy Act, No. 25 of 2022 (SSCL Act).

3.12.1.3 Crop Insurance Levy (CIL)

As per the provision of the Section 14 of the Finance Act No.12 of 2013, the CIL was introduced with effect from 1st of April 2013 and is payable to National Insurance Trust Fund. Currently CIL is payable at 1% of the profit after tax.

3.13 Retirement benefit obligation

Details of "Retirement benefit obligation" are given on Note 33. Page No 53.

3.14 Dividends payable

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are recommended by and declared by the Board of Directors and approved by the shareholders. Interim dividends are deducted from equity when they are declared and are payable at the discretion of the Company. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date in accordance with the Sri Lanka Accounting Standard - LKAS 10 on 'Events after the Reporting period'.

3.15 Income

Income is recognised to the extent that it is probable that the economic benefits will flow to the Company and revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are as follows:



3.15.1 Net interest income

3.15.1.1 Interest income and interest expense

Interest income and expense are recognised in the statement of profit or loss using the effective interest rate (EIR) method.

As per SLFRS 9, the interest income and expense presented in the statement of profit or loss include:

- Interest on financial assets measured at amortised cost calculated using EIR method
- Interest on financial liabilities measured at amortised cost calculated using EIR method

Effective Interest Rate (EIR)

The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

When calculating the EIR for financial instruments other than credit-impaired assets, the Company estimates future cash flows considering all contractual terms of the financial instrument, but not expected credit losses (ECLs). For credit-impaired financial assets which are classified under Stage 3, a credit-adjusted EIR is calculated using estimated future cash flows including ECLs. The credit-adjusted EIR is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost.

The calculation of the EIR includes transaction costs and fees and points paid or received that are an integral part of the EIR.

For financial assets that were credit-impaired on initial recognition, interest income is calculated by applying the credit-adjusted EIR to the amortised cost of the asset. The calculation of interest income does not revert to a gross basis, even if the credit risk of the asset improves.

3.15.2 Net trading gain/loss on held for trading securities

Results arising from trading activities include all gains and losses from changes in fair value for financial assets 'held for trading'.

3.15.3 Net Fee and Commission Income

Fee and commission income is earned from a diverse range of services provided by the Company to its customers. Fees and commission income is accounted for as follows:

- Income earned on the execution of a significant act is recognised as revenue when the act is completed
- Income earned from the provision of services is recognised as revenue as the services are provided

3.15.4 Other operating income

Other operating income includes gains on property, plant and equipment, hiring income, rent income, dividend income and capital gains/(losses).



ASIA ASSET FINANCE PLC
MATERIAL ACCOUNTING POLICY INFORMATION TO THE FINANCIAL STATEMENTS

3.15.4.1 Dividend income

Dividend income is recognised when the Company's right to receive the income is established.

3.15.4.2 Gain or losses on disposal of property plant and equipment, Investment property and real estates
 Gains or losses resulting from the disposal of property, plant and equipment, investment properties and real estates are accounted for on cash basis in the statement of profit or loss, in the period in which the sale occurs.

3.15.4.3 Other Income

Other income is relates to loans and advances recognised on an accrual basis and all the other on cash basis

3.16 Personnel expenses

Details of "Personnel expenses" are given in Note 9. Page No 31.

3.17 General and administrative expense

General and administration expenses are recognised in the statement of profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency have been charged to the statement of income in arriving at the profit for the year.

3.18 Income tax expense

Current tax

Current tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from, or paid, to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Accordingly, provision for taxation is based on the profit for the year adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto at the rate of 30%.

3.19 Events after the reporting period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the financial statements are authorised for issue.

In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in the financial statements, where necessary.

3.20 Statement of cash flows

The statement of cash flows has been prepared by using 'The Indirect Method' in accordance with the Sri Lanka Accounting Standard - 'LKAS 7' - 'Statement of Cash Flows', whereby gross cash receipts and gross cash payments of operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents mainly comprise cash in hand, balances at banks and bank overdrafts.



3.21 Fair value measurement

"Fair value" is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted pricing in an active market, then the Company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The fair value of an asset or a liability is measured using the assumptions that market participants would use the fair value hierarchy when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

An analysis of fair value measurement of financial and non-financial assets and liabilities is provided in note 43 to the financial statements. Refer Note 43 Page 59.



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NOTES TO THE FINANCIAL STATEMENTS

4. INTEREST INCOME

Accounting Policy

Income is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. The specific recognition criteria, for each type of income, are given below. For all financial instruments measured at amortised cost, interest income or expense is recorded using the Effective Interest Rate (EIR). EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

Interest on Overdue Rentals

Interest from overdue rentals have been accounted for on a cash basis.

Recognition of Moratorium interest income for credit facilities under moratoriums

The Company recognises the moratorium interest income on the concessionary rate during the moratorium period.

Recovery of written-off debts/disposal losses

Recovery of amounts previously written-off as bad and doubtful debts is recognised on a cash basis.

	2023/2024 Rs.	2022/2023 Rs.
Interest on leases	23,307,288	68,227,094
Interest on loans	467,331,687	302,842,641
Overdue interest	71,288,122	106,886,156
Recovery of written off contracts	47,493,670	49,680,796
Interest income on early terminated contracts	10,044,184	(17,618,156)
Interest on treasury bills in reverse repurchase agreements	573,114,410	409,755,369
Interest on bank deposits	443,550,123	123,838,091
Interest on gold loans	4,046,372,145	4,348,089,844
	<u>5,682,401,629</u>	<u>5,391,701,835</u>

5. INTEREST EXPENSES

Accounting Policy

Under SLFRS 9, interest income and interest expense are recorded using the Effective Interest Rate method for all financial assets measured at amortised cost and all financial liabilities measured at amortised cost respectively. Interest expenses presented in the Statement of profit or loss includes finance liabilities measured at amortised cost and interest on lease liability.

		2023/2024 Rs.	2022/2023 Rs.
Interest on fixed deposits	Due to customers	2,663,300,660	2,088,556,599
Interest on savings deposits	Due to customers	613,713	9,547
Interest on other borrowings	Due to banks	956,702,679	773,712,993
Interest on leased liability	Lease liabilities	42,338,086	31,420,978
Interest on debenture	Due to securities issued	361,151,772	380,783,577
Interest on bank loans	Due to securities issued	226,300,763	376,567,671
		<u>4,250,407,673</u>	<u>3,651,051,365</u>

6. NET INTEREST INCOME

Accounting Policy

Net interest margin is the difference between the interest income generated and the amount of interest paid out to lenders. A positive net interest margin indicates the efficiency in investing.

	2023/2024 Rs.	2022/2023 Rs.
Interest income	5,682,401,629	5,391,701,835
Interest expenses	4,250,407,673	3,651,051,365
	<u>1,431,993,956</u>	<u>1,740,650,470</u>

7. FEES AND COMMISSION INCOME

Accounting Policy

The Company earns fees and commission income from a diverse range of services it provides to its customers. Fees and commission income are accounted for as follows:

- Income earned on the execution of a significant act is recognised as revenue when the act is completed and
- Income earned from the provision of services is recognised as revenue as the services are provided.

	2023/2024 Rs.	2022/2023 Rs.
Documentation charges and service charges	906,879,246	594,558,580
Insurance commission income	2,123,903	7,825,520
	<u>909,003,149</u>	<u>602,384,100</u>



8. OTHER OPERATING INCOME

Accounting Policy

Other operating income includes income earned on other sources, which are not directly related to the normal operations of the Company and is recognised on cash basis.

	2023/2024 Rs.	2022/2023 Rs.
Gain / (loss) on disposal of property, plant and equipment	(1,077,345)	2,173,135
Gain on sale of investment property	-	1,738,018
Dividend income	179,520	240,000
Sundry income	14,069,152	4,182,336
Gain / (loss) from foreign currency savings	(1,043,028)	1,726,703
Rent income from investment property	18,000	22,000
Gain on expiration of operating lease agreements	-	2,166,889
	<u>12,146,299</u>	<u>12,249,081</u>

9. PERSONNEL EXPENSES

Accounting Policy

Personnel expenses include salaries, bonus, terminal benefit charges and other related expenses. The provision for bonus is recognised when it is probable that an outflow of resources embodying the economic benefits will be required to settle the obligation and a reliable estimate can be made on the amount of the obligation. Employees are eligible for Employees' Provident Fund (EPF) contributions and Employees' Trust Fund (ETF) contributions in accordance with the respective statutes and regulations. Retirement benefit obligation is recognised in the Statement of Income based on an actuarial valuation carried out for the gratuity liability in accordance with Sri Lanka Accounting Standard - LKAS 19 - Employee Benefits.

	2023/2024 Rs.	2022/2023 Rs.
Directors' remuneration	23,040,164	20,794,000
Salaries and bonus	288,962,891	247,810,469
Defined contribution plan costs - EPF and ETF	38,646,107	31,166,996
Other staff related expenses	85,439,324	105,147,138
Provision for staff retirement benefits	14,035,862	8,762,394
	<u>450,124,348</u>	<u>413,680,997</u>

10. DEPRECIATION AND AMORTISATION COST

Accounting Policy

Depreciation is calculated to write-off the cost of items of property, plant and equipment less their estimated residual values using the straight-line method over their estimated useful lives and is recognised in the statement of profit or loss.

The estimated useful lives are as follows:

Plant	8 years
Furniture and fittings	6 years
Office equipment	6 years
Motor vehicles	6.5 years
Computer hardware	6 years
Investment property building	15 years

All classes of property, plant and equipment together with the reconciliation of carrying amounts and accumulated depreciation at the beginning and at the end of the year are given in Note 23.

Depreciation on right-of-use asset

Right-of-use assets are depreciated over the lease term of the assets in the absence of reasonable certainty that the Company will obtain the ownership of such assets by the end of the lease term.

	Note	2023/2024 Rs.	2022/2023 Rs.
Depreciation of property, plant and equipment and investment property	23 & 25	68,554,917	55,845,199
Depreciation of right-of-use assets	24	67,224,605	65,237,164
Amortisation of computer software	26	9,531,651	8,961,352
		<u>145,311,174</u>	<u>130,043,715</u>



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NOTES TO THE FINANCIAL STATEMENTS

11. IMPAIRMENT CHARGE FOR LEASE RENTALS RECEIVABLE, HIRE PURCHASE LOANS AND ADVANCES

Accounting Policy

The Company recognises the changes in the impairment provisions for loans and receivables which are assessed as per the SLFRS 9 - Financial Instruments. The methodology adopted by the Company in determining the same is explained in Note 18 to these financial statements.

For loans and advance defined in as threshold, the Company assessed for significant increases in credit risk (SICR). If a particular loan is individually impaired, the amount of losses is measured as the difference between the assets carrying amount and the present value of estimated future cashflows and the haircut value of the securities if available. If any loans and advances have no provisions under individual assessment, such financial assets are then collectively assessed for impairments along with remaining maturity portfolios.

	Note	2023/2024 Rs.	2022/2023 Rs.
Individual impairment expense	11.1	579,670,795	550,519,930
Collective impairment expense	11.1	(74,632,158)	5,572,289
		<u>505,038,637</u>	<u>556,092,219</u>

11.1 Product wise Impairment Charges/ reversal of charges

Lease rentals receivable	(21,711,808)	(22,638,520)
Hire purchases	-	(19,500)
Mortgage loans	8,669,420	74,770,193
Micro Mortgage loans	3,107,000	-
Pledge loans	-	(4,028)
Personal and corporate loans	(100,021,126)	377,793,730
Group personal loans	99,110,902	38,285,076
Micro finance loans	177,751,618	88,058,424
Project financing loan	(11,970)	90,836
Gold loan	338,144,601	49,756,008
	<u>505,038,637</u>	<u>556,092,219</u>

12. OPERATING PROFIT BEFORE VALUE ADDED TAX ON FINANCIAL SERVICES

Accounting Policy

Expenditure recognition

Expenses are recognised in the statement profit or loss on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the statement profit or loss. For the purpose of presentation of the statement of profit or loss, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company's performance.

	Note	2023/2024 Rs.	2022/2023 Rs.
Operating profit before value added tax on financial services			
Operating profit before value added tax on financial services is stated after charging all expenses including the following:			
Depreciation and amortisation		78,086,569	194,850,265
Depreciation on right-of-use-asset		67,224,605	65,237,165
Auditors' remuneration - external audit current year		2,862,000	2,598,000
- Non-audit		2,840,548	2,354,799
Advertising and business promotion		64,582,545	61,199,550
Professional and legal fees		26,879,453	28,654,051
Operational expenses on investment property		18,000	-
		<u>242,493,720</u>	<u>354,893,830</u>

13. TAXES ON FINANCIAL SERVICES

Accounting Policy

VAT on Financial services

VAT on Financial services is calculated in accordance with Value Added Tax (VAT) Act No. 14 of 2002 and subsequent amendments thereto. The value base for the computation of value added tax on financial services is calculated by adjusting the economic depreciation computed on rates prescribed by the Department of Inland Revenue to the accounting profit before income tax and emoluments payable. Emoluments payable include cash benefits, non-cash benefits including terminal benefits. VAT on Financial services is charged at the rate of 18%.

Social Security Contribution Levy

Social Security Contribution Levy (SSCL) was imposed with effect from October 01, 2022, at the rate of 2.5% by the Social Security Contribution Levy Act, No. 25 of 2022 (SSCL Act).

	2023/2024 Rs.	2022/2023 Rs.
VAT on Financial Services	87,399,981	30,000,000
Social Security Contribution Levy	17,304,575	12,825,463
	<u>104,704,556</u>	<u>42,825,463</u>



14. INCOME TAX EXPENSES

Accounting Policy

Income tax on the profit for the year comprises current and deferred tax. Income tax is recognised directly in the statement of profit or loss except to the extent that it relates to items recognised directly in equity, in which case, it is recognised in equity.

Current taxes

Current tax assets and liabilities consist of amounts expected to be recovered from, or paid to the taxation authorities in respect of the current as well as prior years. The tax rates and tax laws used to compute the amounts are those that are enacted or substantially enacted by the reporting date. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017 and the amendments thereto, at the rates specified in the Note 12 to the financial statements. This note also includes the major components of tax expense, the effective tax rates and a reconciliation between the profit before tax and tax expense as required by the Sri Lanka Accounting Standard - LKAS 12 on 'Income Taxes'.

Major components of income tax expense for the year ended 31st March 2024 are as follows:

	Note	2023/2024 Rs.	2022/2023 Rs.
Statement of profit or loss			
Current income tax			
Current income tax charge	14.1	47,054,021	-
Previous year under provision		247,115	2,844,902
Total current income tax		47,301,136	2,844,902
Deferred tax			
Deferred tax expense		(18,000,000)	61,455,352
Current income tax expenses		47,301,136	-
Total income tax expense reported in the statement of profit or loss		29,301,136	64,300,254
Statement of other comprehensive income			
Deferred tax			
Deferred tax effect on components of other comprehensive income - Revaluation surplus		13,053,327	-
Deferred tax effect on components of other comprehensive income - Actuarial gain		3,819,139	2,544,648
Total income tax expenses reported in the other comprehensive income		16,872,466	2,544,648
Current year net effect to the statement of comprehensive income		46,173,602	66,844,902
14.1 Reconciliation of accounting profit and taxable income			
Accounting profit (profit before income tax)		373,487,839	359,635,676
Add : Disallowable expenses		801,574,414	807,368,100
Less : Allowable expenses		(844,340,778)	(734,164,749)
Less : Exempt income		(11,705,637)	(10,120,318)
Less : Assesable income		(7,169,101)	-
Add : Adjusted business profit from leasing business		-	1,412,786
Statutory income		311,846,738	424,131,495
Tax loss brought forwarded and utilized		(155,000,000)	(424,131,495)
Taxable income		156,846,738	-
Income tax expense		47,054,021	-
Effective income tax rate		30%	30%



14. INCOME TAX EXPENSES (CONTD...)

14.1 Reconciliation of accounting profit and taxable income

Accounting Policy

Deferred tax assets are recognised for all deductible temporary differences, and unused tax credits and tax losses carried forward, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the unused tax credits and tax losses carried forward can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at tax rates that are expected to apply to the year when the asset is realised or liability is settled, based on the tax rates and tax laws that have been enacted or substantively enacted as at the reporting date.

Deferred tax relating to items recognised outside the statement of profit or loss is recognised outside the income statement. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off the current tax assets against the current tax liabilities and when the deferred taxes relate to the same taxable entity and the same taxation authority.

As at	Note	31.03.2024 Rs.	31.03.2023 Rs.
Recognised under assets	14.2	73,085,259	62,818,883
Recognised under liabilities		(34,535,076)	(25,396,236)
Deferred tax asset balance		<u>38,550,183</u>	<u>37,422,647</u>

14.2 Deferred tax assets and liabilities relate to the following:

Deferred tax liability			
Revaluation reserve		(13,053,327)	-
Lease rental receivable		-	(4,362,366)
Property, plant and equipment		(21,481,749)	(21,033,870)
		<u>(34,535,076)</u>	<u>(25,396,236)</u>
Deferred tax assets			
Retirement benefit obligation		11,863,028	13,716,760
Carried forward tax loss and unused tax credit	14.2.1	28,961,796	180,280
Transitional adjustment		14,311,755	35,779,388
Right-of-use assets		9,901,253	5,642,455
Provision for impairment of loans and receivables		8,047,427	7,500,000
		<u>73,085,259</u>	<u>62,818,883</u>
Net deferred tax asset		<u>38,550,183</u>	<u>37,422,647</u>

14.2.1 The carrying amount of deferred tax assets is reviewed by the management at each reporting date and recognised to the extent of probable taxable profits in 3 years time as recommended by IR Act No. 24 of 2017.

With the enactment of the Inland revenue (Amendment) Act No 45 of 2022, income tax rate was revised from 24% to 30% effective from 01st October 2022 of the year of assessment 2022/2023. Accordingly, income tax rate of 30% was applied on the taxable income of the Company for the 2nd half of the financial year ended 31st March 2023 and thereon.

Deferred tax assets and liabilities were assessed based on the revised income tax rate of 30% which was effective from 01st October 2022.



15. CLASSIFICATION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

Accounting Policy

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of material accounting policies describes how each category of financial instruments is measured and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in Sri Lanka Accounting Standard - SLFRS 9 'Financial Instruments' under the headings of the Statement of Financial Position.

As at 31st March 2024

	FVTOCI Rs.	Amortized Cost Rs.	Total Rs.
Assets			
Cash and cash equivalents	-	3,887,692,725	3,887,692,725
Investment in reverse repurchase agreements against the treasury bills and bonds and other securities at amortised cost	-	1,755,472,300	1,755,472,300
Financial assets at amortised cost - Lease rentals receivable and hire purchase	-	265,619,140	265,619,140
Financial assets at amortised cost - Loans and advances	-	18,791,889,311	18,791,889,311
Property Plant and Equipment - Motor Vehicle	55,356,509	-	55,356,509
Financial assets - fair value through OCI	506,659	-	506,659
Total financial assets	55,863,168	24,700,673,476	24,756,536,645
		Liabilities at amortized Cost Rs.	Total Rs.
Liabilities			
Due to customers		14,485,136,166	14,485,136,166
Debenture		1,058,730,444	1,058,730,444
Due to banks		47,637,705	47,637,705
Other borrowed funds		6,050,495,203	6,050,495,203
Total financial liabilities		21,641,999,518	21,641,999,518

As at 31st March 2023

	FVTOCI Rs.	Amortized Cost Rs.	Total Rs.
Assets			
Cash and cash equivalents	-	2,063,128,895	2,063,128,895
Investment in reverse repurchase agreements against the treasury bills and bonds at amortised cost	-	2,444,830,041	2,444,830,041
Financial assets at amortised cost - Lease rentals receivable and hire purchase	-	449,636,218	449,636,218
Financial assets at amortised cost - Loans and advances	-	19,028,664,556	19,028,664,556
Financial assets - fair value through OCI	506,659	-	506,659
Total financial assets	506,659	23,986,259,710	23,986,766,369
		Liabilities at amortized Cost Rs.	Total Rs.
Liabilities			
Due to customers		13,274,968,572	13,274,968,572
Debenture		2,187,519,136	2,187,519,136
Due to banks		3,763,272	3,763,272
Other borrowed funds		6,062,427,129	6,062,427,129
Total financial liabilities		21,528,678,109	21,528,678,109





16 CASH AND CASH EQUIVALENTS

Accounting Policy

Cash and cash equivalents include cash in hand and balances placed with banks. These are subject to an insignificant risk of changes in their fair value, and are used by the Company in the management of its short-term commitments. They are brought to financial statements at their face values or the gross values, where appropriate.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

	31.03.2024 Rs.	31.03.2023 Rs.
Cash in hand	158,377,039	77,913,890
Cheque in hand	63,258,306	2,844,191
Current accounts with banks	90,964,848	96,474,984
Savings accounts with banks	1,059,328,427	645,151,270
Savings accounts with banks in foreign currency	11,777,891	12,546,336
Short-term Investment	2,503,986,214	1,228,198,224
	<u>3,887,692,725</u>	<u>2,063,128,895</u>

17 INVESTMENT IN REVERSE REPURCHASE AGREEMENTS AGAINST TREASURY BILLS, BONDS AND OTHER SECURITIES AT AMORTISED COST

Accounting Policy

Securities purchased under agreements to re-sell at a specified future date are recognised in the Statement of Financial Position. The consideration paid, including accrued interest, is recorded in the Statement of Financial Position, reflecting the transaction's economic substance as a loan provided by the Company. The difference between the purchase and resale prices is recorded in "Interest Income" and is accrued over the life of the agreement using the EIR.

	31.03.2024 Rs.	31.03.2023 Rs.
Reverse repurchase agreements against treasury bills and bonds	1,690,988,386	2,444,830,041
Long-term Investment Debenture Investment	64,483,914	-
	<u>1,755,472,300</u>	<u>2,444,830,041</u>

18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES

Accounting Policy

Loans and receivables are measured at amortised cost using the EIR, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in "Interest Income" in the Statement of Income. The losses arising from impairment are recognised in the Statement of Income in "impairment charges for loans and receivables and other losses".

Leasing

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

Gold Loans

Gold loan is a secured loan taken by the borrower from a lender by pledging their gold articles (within the range of 18-24 carats) as a collateral. The loan amount provided is a certain percentage of the gold, based on the current market value and quality of gold.

Restructured Loans and Receivables

The Company seeks to restructure loans and receivables with additional collateral when the client does not meet payments on a timely manner. This may involve extending the payment arrangements and the agreement of new receivable conditions. Once the terms have been re-negotiated, any impairment is measured using the original EIR as calculated before the modification of terms and the receivable is no longer considered past due. Management continually reviews renegotiated loans and receivables to ensure that all criteria are met and that future payments are likely to occur. The loans and receivables continue to be measured at amortised cost using the original EIR and are subject to an individual or collective impairment assessment.

18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD....)

		31.03.2024 Rs.	31.03.2023 Rs.
	Note		
Leases, Hire purchases, Loans and advances			
Gross lease, hire purchases, loans and advances	18.1	20,564,656,008	21,200,516,619
Less: Provision for impairment - Collective	18.2	(557,856,261)	(604,325,657)
Less: Provision for impairment - Individual		(945,688,902)	(1,086,125,032)
Less: Net interest margin	18.3	(3,602,399)	(31,765,157)
Net lease, hire purchases, loans and advances		<u>19,057,508,450</u>	<u>19,478,300,773</u>

18.1 Leases, Hire purchases, Loans and advances - Analysis by product

Lease rentals receivable	336,858,881	557,198,547
Mortgage loans	1,807,831,101	1,253,818,638
Pledge loans	336,885,568	269,749,968
Personal and corporate loans	1,170,489,300	1,540,918,944
Group personal loans	159,570,136	307,828,809
Micro mortgage loans	1,621,628,495	40,758,924
Micro finance loans	809,062,724	732,381,918
Project financing loan	689,467	689,467
Gold loan	14,321,640,336	16,497,171,404
	<u>20,564,656,008</u>	<u>21,200,516,619</u>



ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD...)

18.2 Impairment Provisions - Analysis by product

	Rs.	Rs.
Lease rentals receivable	71,014,218	92,726,028
Mortgage loans	164,430,292	155,760,872
Micro mortgage loans	3,107,000	-
Pledge loans	-	-
Personal and corporate loans	528,103,919	984,690,718
Group personal loans	62,462,049	98,254,684
Micro finance loans	439,360,017	261,608,399
Project financing loan	495,575	507,545
Gold loan	234,572,093	96,902,444
	<u>1,503,545,163</u>	<u>1,690,450,682</u>

18.3 Net Interest Margin Analysis by product

Lease rentals receivable	225,522	14,836,302
Mortgage loans	830,840	7,708,361
Personal and corporate loans	507,732	4,012,749
Group personal loans	16,703	2,472,315
Micro finance loans	13,784	2,735,430
Care gold loan	2,007,814	-
	<u>3,602,395</u>	<u>31,765,157</u>

18.4 Impairment charge to the statement of profit or loss

Leases, Hire purchases, loans and advances to customers		
Stage 1	(13,003,264)	26,129,424
Stage 2	(73,868,009)	(48,362,011)
Stage 3	591,909,910	578,374,806
Total	<u>505,038,637</u>	<u>556,092,219</u>

18.5 Leases, Hire purchases, Loans and advances - Product Analysis by Stages

	31.03.2024				31.03.2023			
	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Leases and hire purchases	32,676,380	12,262,507	291,919,993	336,858,880	294,930,371	51,578,728	210,689,446	557,198,547
Loans and advances	15,120,047,715	853,136,769	4,254,612,643	20,227,797,128	15,346,868,665	1,784,655,329	3,511,793,878	20,643,318,072
	<u>15,152,724,095</u>	<u>865,399,276</u>	<u>4,546,532,636</u>	<u>20,564,656,008</u>	<u>15,641,799,036</u>	<u>1,836,234,057</u>	<u>3,722,483,326</u>	<u>21,200,516,619</u>

18.6 Leases, Hire purchase, Loans and Advances Movements in provision for Impairment during the year (Under SLFRS 9)

	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total
Balance at the beginning of the year	114,121,366	103,782,446	1,472,546,877	1,690,450,689	87,991,942	152,144,457	1,259,811,436	1,499,947,835
Charge/(write back) to the statement of profit or loss	(13,003,264)	(73,868,009)	591,909,910	505,038,637	26,129,424	(48,362,011)	578,374,806	556,092,219
Transferred from NIM	-	-	28,162,760	28,162,760	-	-	-	-
Write off during the year Non Gold Loan	-	-	(491,469,211)	(491,469,211)	-	-	(365,589,366)	(365,589,366)
Write off during the year Gold Loan	-	-	(228,637,712)	(228,637,712)	-	-	-	-
Balance at the end of the year	<u>101,118,102</u>	<u>29,914,437</u>	<u>1,372,512,624</u>	<u>1,503,545,163</u>	<u>114,121,366</u>	<u>103,782,446</u>	<u>1,472,546,876</u>	<u>1,690,450,688</u>

18.6.1 Write off of Non-Gold Loan during the year

Listed cases selected according to the AAF Written off policy and all listed cases selected for 100% provision and during the year provision was accounted at LKR 164M.



ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONT'D...)

18.7 Financial assets at amortised cost - Lease rentals receivable and hire purchase

	31.03.2024					31.03.2023				
	Rs.					Rs.				
	Stage 1	Stage 2	Stage 3	Total		Stage 1	Stage 2	Stage 3	Total	
Gross lease rental receivable and hire purchases	32,676,380	12,262,507	291,919,993	336,858,880		294,930,371	51,578,728	210,689,448	557,198,548	
Less: Provision for impairment	(170,743)	(249,447)	(70,935,513)	(71,014,218)		(10,303,749)	(3,575,980)	(78,846,299)	(92,726,028)	
Less: Net interest margin	(225,522)	-	-	(225,522)		(14,836,302)	-	-	(14,836,302)	
Net lease rentals receivable and hire purchase	32,621,400	12,013,060	220,984,480	265,619,140		269,790,320	48,002,748	131,843,149	449,636,218	

18.7.1 Movement in provision for impairment during the year (Under SLFRS 9)

	31.03.2024					31.03.2023				
	Rs.					Rs.				
	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment		Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment	
Balance at the beginning of the year	10,303,748	3,575,979	78,846,299	92,726,026		8,566,631	16,026,905	133,795,106	158,388,642	
Charge/(write back) to the statement of profit or loss	(10,474,491)	(3,326,532)	(7,910,786)	(21,711,808)		1,737,117	(12,430,926)	7,420,601	(3,293,208)	
Write off during the year	-	-	-	-		-	-	-	-	
Net interest margin reversal	-	-	-	-		-	-	-	-	
Balance at the end of the year	(170,743)	249,447	70,935,513	71,014,218		10,303,748	3,575,979	78,846,299	92,726,028	

18.7.2 Lease rentals receivable and hire purchase

Not lease rentals receivables

Note

31.03.2024
Rs.

31.03.2023
Rs.

265,619,142	449,636,218
265,619,142	449,636,218

18.7.3 Lease rentals receivable

Gross rentals receivable
Less: Unearned income
Pre-paid rentals

Less: Net interest margin
Provision for impairment losses

352,703,252	596,074,612
(13,646,876)	(38,771,558)
(2,197,495)	(104,507)
336,858,881	557,198,547
(225,522)	(14,836,302)
(71,014,218)	(92,726,027)
265,619,142	449,636,218



18.7.5.1 Lease and hire purchase receivable not later than 1 year

	31.03.2024	31.03.2023
	Rs.	Rs.
Gross rentals receivable	221,404,611	229,799,794
Less: Unearned income	(2,213,506)	(2,384,058)
Pre-paid rentals	(852,984)	(98,987)
Net interest margin	(225,522)	(14,836,302)
Provision for impairment losses	(45,313,189)	(65,521,418)
	172,879,610	146,759,029

18.7.5.2 Lease and hire purchase receivable later than 1 year and not later than 5 years

	31.03.2024	31.03.2023
	Rs.	Rs.
Gross rentals receivable	131,218,440	366,274,818
Less: Unearned income	(11,433,368)	(36,187,500)
Pre-paid rentals	(1,344,512)	(5,520)
Provision for impairment losses	(25,701,029)	(27,204,609)
	92,739,531	302,877,189

18.8 Financial assets at amortised cost - Loans and advances

	31.03.2024					31.03.2023				
	Rs.					Rs.				
	Stage 1	Stage 2	Stage 3	Total		Stage 1	Stage 2	Stage 3	Total	
Gross loans and advances receivables	15,120,047,715	853,136,769	4,254,612,643	20,227,797,128		15,346,868,665	1,784,653,529	3,512,948,880	20,644,471,074	
Less: Provision for impairment	(101,288,845)	(29,664,991)	(1,301,577,109)	(1,432,530,944)		(103,817,618)	(100,206,467)	(1,394,855,575)	(1,598,879,661)	
Less: Provision net interest margin	(3,376,873)	-	-	(3,376,873)		(16,928,855)	-	-	(16,928,855)	
Net Loans and advances receivables	15,015,381,998	823,471,779	2,953,035,535	18,791,889,311		15,226,122,192	1,684,449,062	2,118,093,302	19,028,664,556	



ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

18 FINANCIAL ASSETS AT AMORTISED COST - LOANS AND ADVANCES (CONTD...)

18.8 Financial assets at amortised cost - Loans and advances (contd...)

18.8.1	Movement in provision for impairment during the year (Under)	31.03.2024						31.03.2023					
		Rs.		Rs.		Rs.		Rs.		Rs.		Rs.	
		Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment	Movement in stage 1 impairment	Movement in stage 2 impairment	Movement in stage 3 impairment	Movement in total impairment
	Balance at the beginning of the year	103,817,618	100,206,467	1,394,855,378	1,598,879,463	79,425,311	136,117,552	1,124,861,328	1,341,559,193				
	Charge/(write back) to the statement of profit or loss	(2,528,774)	(70,541,477)	599,820,696	526,750,446	24,392,307	(35,911,085)	570,904,205	559,385,427				
	Write off of during the year Non-Gold Loan	-	-	(491,469,211)	(491,469,211)	-	-	(302,064,957)	(302,064,957)				
	Write off of during the year Gold Loan	-	-	(228,637,714)	(228,637,714)	-	-	-	-				
	Transferred from NIM to LLP	-	-	27,007,760	27,007,760	-	-	-	-				
	Balance at the end of the year	101,288,845	29,664,991	1,301,577,109	1,432,530,944	103,817,618	100,206,467	1,394,855,578	1,598,879,663				

18.8.2 Impairment charge to the Statement of Profit or Loss

Loans and advances to customers

	31.03.2024	31.03.2023
Stage 1	(2,528,774)	24,392,307
Stage 2	(70,541,477)	(35,911,085)
Stage 3	599,820,696	570,904,205
Total	526,750,446	559,385,427



ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

19. OTHER ASSETS

Accounting Policy

The Company classifies all their other assets, as other financial assets and other non-financial assets. Other non-financial assets mainly comprise the advance payments, VAT recoverable and sundry receivable.

Deferred expenses

Costs of acquiring new businesses including commission, marketing expenses which vary with and directly related to production of new businesses are deferred to the extent that these costs are recoverable in the future. All other acquisition costs are recognized as an expense when incurred. Subsequent to initial recognition, all the other expenses are deferred.

	31.03.2024 Rs.	31.03.2023 Rs.
Other assets	130,133,093	127,559,654
	<u>130,133,093</u>	<u>127,559,654</u>
20. INCOME TAX RECEIVABLE/ (PAYABLE)	31.03.2024 Rs.	31.03.2023 Rs.
Balance at the beginning of the year	27,593,548	27,698,763
Income tax expense for the year	(47,054,021)	-
Under provision for previous year	(247,115)	(2,844,902)
Previous year under provision paid	247,115	2,471,149
WHT paid during the year	1,507,015	268,538
	<u>(17,953,458)</u>	<u>27,593,548</u>

21. ADVANCES, DEPOSITS AND PREPAYMENTS

Accounting Policy

Advance payments are carried at historical cost.

Advance and prepayments

Refundable deposits

Other receivables

	7,714,746	15,092,421
	36,389,800	27,204,800
	58,709,179	34,737,347
	<u>102,813,725</u>	<u>77,034,568</u>

	31.03.2024		31.03.2023	
	Number of shares	Directors' valuation* Rs.	Number of shares	Directors' valuation* Rs.
22. FINANCIAL ASSETS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME				
Unquoted cumulative redeemable preference shares				
Platinum Reality Investment Limited	25,000	6,500,000	25,000	6,500,000
Less: Impairment charge	25,000	(6,500,000)	25,000	(6,500,000)
Unquoted Ordinary shares				
Finance Houses Consortium (Private) Limited	20,000	200,000	20,000	200,000
Credit Information Bureau of SL (CRIB)	100	306,659	100	306,659
	<u>20,100</u>	<u>506,659</u>	<u>20,100</u>	<u>506,659</u>

*The Directors' valuation of non-quoted securities based on cost of investment less impairment amounts to Rs.506,659/- (2023 - Rs.506,659/-).

23. PROPERTY, PLANT AND EQUIPMENT

Accounting Policy

Basis of Recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used for more than one year.

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the Company and the cost of the assets can be measured reliably.



ASIA ASSET FINANCE PLC
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23. PROPERTY, PLANT AND EQUIPMENT (CONTD...)

Basis of measurement

Cost Model

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalised borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of computer equipment.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

The Company applies the cost model to property, plant and equipment and records at cost of purchase or construction together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses.

Revaluation Model

Motor vehicles of the Company are revalued by independence Professional valuer every 05 years or more frequently if the fair values are substantially different from carrying amounts, to ensure that the carrying amounts do not differ from the fair value as at the reporting date.

On revaluation of an asset, any increase in the carrying amount is recognized in Revaluation Reserve in Equity through OCI or used to reserve a previous loss on revaluation of the same asset was that charged to the Statement of Profit or Loss. In this, the increase is recognized as income only to the extent of the amounts written down previously. Any increase in the carrying amount is recognized as an expense in the Income statement or charged to Revaluation Reserve in Equity through OCI only to the extent of any credit balances existing in the Revaluation Reserve in respect of that asset. Any balance remaining Revaluation Reserve in respect of an asset, is transferred directly to Retained Earnings on retirement or disposal of the asset.

The Company carries its motorvehicle at fair value, valuations of the motor vehicles were carried out as at 31st March 2024 by S&T Vehicle Valuation Center (Pvt Ltd. Open market value method uses prices and other relevant information generated by market transactions involving identical or comparable assets (Level 2).

The carrying value of revalued assets as at 31st March 2024 that would have been included in the financials statements of the Company had the assets been carried at cost less depreciation is as follows,

	Cost/ Revalued	Accumulated Depreciation	Carrying Value
Motor vehicle	56,543,473	1,186,964	55,356,509

Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The cost of day today servicing of property, plant and equipment is charged to the statement of income as incurred.

Repairs and maintenance

Repairs and maintenance are charged to the statement of income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

Derecognition

Property, plant and equipment are derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in 'Other operating income' in the statement of income in the year the asset is derecognized.

Depreciation

Depreciation is recognised in the statement of profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment since this method most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives are as follows;

Plant	8 years
Furniture and fittings	6 years
Office equipment	6 years
Motor vehicles -Revalued	6.5 years
Computer hardware	6 years

The depreciation rates are determined separately for each significant part of an item of property, plant and equipment, and commence to depreciate when they are available for use, i.e. when they are in the location and condition necessary for them to be capable of operating in the manner intended by the management. Depreciation methods, useful lives and residual values are re-assessed at each reporting date and adjusted, if appropriate.

ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

23. PROPERTY, PLANT AND EQUIPMENT (CONTD...)

Gross carrying amounts

	Motor vehicle Rs.	Office equipment Rs.	Computers Rs.	Furniture and fittings Rs.	Total Rs.
Freehold assets					
Cost/Revaluation					
Balance at the beginning of the year	64,017,935	294,898,998	88,762,633	62,725,378	510,404,944
Additions/Transfers during the year	13,950,000	80,841,798	18,901,216	28,573,151	142,266,165
Disposals/ Transfers	(26,099,446)	(69,944,008)	(15,582,629)	(5,604,571)	(117,230,654)
Transfer of accumulated depreciation on assets revalued	(38,836,105)	-	-	-	(38,836,105)
Surplus on revaluation of Motor Vehicles	43,511,089	-	-	-	43,511,089
Balance at the end of the year	56,543,473	305,796,788	92,081,220	85,693,958	540,115,439

	Motor vehicle Rs.	Office equipment Rs.	Computers Rs.	Furniture and fittings Rs.	Total Rs.
Accumulated depreciation					
Balance at the beginning of the year	53,925,390	169,675,643	52,873,920	30,142,977	306,617,930
Charge for the year	7,472,295	39,487,970	11,050,698	9,328,032	67,338,995
Disposals/ Transfers	(21,374,616)	(67,250,464)	(14,337,097)	(5,327,316)	(108,289,493)
Transfer of accumulated depreciation on assets revalued	(38,836,105)	-	-	-	(38,836,105)
Balance at the end of the year	1,186,964	141,913,149	49,587,521	34,143,693	226,831,327

	31.03.2024 Rs.	31.03.2023 Rs.
Net Book value		
Motor vehicle	55,356,509	10,092,545
Office equipment	163,882,639	125,223,355
Computers	42,493,699	35,888,713
Furniture and fittings	51,550,265	32,582,401
	313,284,112	203,787,014

23.1 During the 12 months year ended 31st March 2024, the Company acquired property, plant and equipment to the aggregate value of Rs.142,266,165/- (2023 74,641,867/-). Cash payments amounting to Rs.142,266,165/- (2023 -74,641,867/-) were paid during the period for the purchases of property, plant and equipment. During the year the Company has performed a valuation for the motor vehicles as a result Rs. 43,511,089/- revaluation gain has occurred and transferred it to the revaluation reserves.

23.2 Property, plant and equipment include fully depreciated assets having a gross carrying amount of Rs.90,086,815.58 - (2023- Rs. 147,601,392/-).

23.3 Temporarily idle property, plant and equipment

There were no property, plant and equipment idling as at 31st March 2024 and 31st March 2023

23.4 Title restriction on property, plant and equipment

There was no restriction on the title of property, plant and equipment as at 31st March 2024 and 31st March 2023

23.5 Property, plant and equipment pledged as securities for liabilities

There were no items of property, plant and equipment pledged as securities for liabilities as at 31st March 2024 and 31st March 2023

23.6 Borrowing Costs

There was no capitalised borrowing cost related to the acquisition of property, plant and equipment during the financial year 2024 and 2023.

23.7 The maturity analysis of property, plant and equipment is given in Note 41.

24. RIGHT-OF-USE ASSETS ON LEASE

Accounting Policy

Basis of recognition

The Company applies Sri Lanka Accounting Standard SLFRS 16 "Leases" in accounting for all leasehold rights except for short-term leases, which are held for use in the provision for services.

Basis of Measurement

The Company recognises right-of-use assets at the date of commencement of the lease, which is the present value of lease payments to be made over the lease term. Right-of-use assets are measured at cost less any accumulated amortisation and impairment losses and adjusted for any re-measurement of lease liabilities. The cost of the right-of-use assets includes the amount of lease liabilities recognised, initial direct cost incurred, and lease payments made at or before the commencement date less any lease incentives received.

Amortisation

Right-of-use assets are amortised over the lease term of the assets as there is no reasonable certainty that the Company will obtain the ownership of such assets by the end of the lease term.

24. RIGHT-OF-USE ASSETS ON LEASE (CONTD...)

Derecognition/Termination

Right-of-use assets are derecognised on termination of the agreement with the lessor or when no future economic benefits are expected from its use. Any gain or loss arising on de-recognition of the asset is recognised in 'Other operating income' in the statement of income in the year the asset is derecognised.

	31.03.2024 Rs.	31.03.2023 Rs.
Cost		
Balance at the beginning of the year	367,059,688	328,185,238
Additions/renewal of operating lease during the year	73,021,458	46,331,984
Capitalized from advance during the year	-	4,936,667
Expiration of operating lease agreement during the year	-	(12,394,201)
Balance at the end of the year	440,081,146	367,059,688
Accumulated amortisation		
Balance at the beginning of the year	186,417,480	131,688,443
amortisation for the year	67,224,605	65,237,164
Expiration of operating lease agreement during the year	-	(10,508,127)
Balance at the end of the year	253,642,085	186,417,480
Net book value	186,439,061	180,642,208

25. INVESTMENT PROPERTY

Accounting Policy

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, to be used in the production or supply of goods or services or for administrative purposes.

Investment properties are initially recognized at cost. Subsequent to initial recognition, the investment properties are stated at cost.

De-recognition

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property is recognized in the statement of income in the year of retirement or disposal.

Subsequent transfers to/from investment property

Transfers are made to investment property when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or completion of construction or development.

Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sell.

For a transfer from investment property to owner occupied property or inventories, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Company as an owner occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

For a transfer from inventories to investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognized in the statement of profit or loss. When the Company completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of income.

The estimated useful life of the buildings is assessed as 15 years.

	31.03.2024 Rs.	31.03.2023 Rs.
Cost		
Balance at the beginning of the year	332,558,647	367,158,649
Additions during the year	1,452,837	700,000
Disposals during the year	-	(35,300,000)
Balance at the end of the year	334,011,484	332,558,649
Accumulated Depreciation		
Balance at the beginning of the year	8,496,456	8,103,362
Charge for the year	1,215,921	1,247,612
Disposals during the year	-	(854,518)
Balance at the end of the year	9,712,377	8,496,456
Net book value	324,299,107	324,062,193

Fair value of the investment property for the purpose of disclosure in note 25.4 was ascertained by valuations carried out by independent valuers as required by LKAS 40.

25.1 Direct operational expenses recognised in respect of the above investment property is disclosed in Note 12.

25.2 Rent income recognized in respect to the above investment property is disclosed in Note 08.

25.3 Advance Received for Investment Property

Sandiyakalukuda & Mundalamakadu of Puttalam Rd, Mundalama,
No:723/53, "Lake Terrace" Jayasinghe Mawatha, Korathota Road, Athurugiriya.

1,063,000	1,063,000
1,063,000	1,063,000

25 INVESTMENT PROPERTY (CONTD..)

25.4 Fair value of the investment property

Location of the land	Valuer's name and report date	Total extent	31.03.2024				31.03.2023	
			Fair value	Cost	Fair value	Cost	Fair value	Cost
			Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Lot 05, Dangahalehena Land, Aramaduwa Road, Andigama	D. Jayawardene (Incorporated Valuer) - valuation report dated 11th November 2022	0A-01R-39.04 P (0.09965 Ha)	12,000,000	1,250,000	12,850,000	1,250,000	12,850,000	1,250,000
No 25/20, Kalyani Mawatha, Nabola, Wattala	D. Jayawardene (Incorporated Valuer) - valuation report dated 10th November 2022	0A-01R-12.30P	11,000,000	12,453,317	12,185,000	12,453,317	12,185,000	12,453,317
No 21, 14th Lane, J. Jothipala Mawatha, Malabe.	D. Jayawardene (Incorporated Valuer) - valuation report dated 10th October 2023	0A-0R-10.00 P (0.0253 Ha)	22,000,000	15,018,703	8,000,000	15,018,703	8,000,000	12,865,866
Lot 1-46 Plan no:3393 at Tembiligaha, Pallegama, Campola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	02A-02R-15 P	23,000,000	15,064,221	23,000,000	15,064,221	23,000,000	15,064,221
Lot no:1 in Plan no:3644 at Lensodera, Dambulla.	D. Jayawardene (Incorporated Valuer) - valuation report dated 04th April 2023	01A-02R-03.60 P (0.6122 Ha)	51,000,000	16,644,799	51,000,000	16,644,799	51,000,000	16,644,799
Oslo Furnitures Industries (Pvt) Ltd, Weligama, Maspatha, Kurunegala.	D. Jayawardene (Incorporated Valuer) - valuation report dated 04th April 2023	0A-01R-35.00 P (0.1697 Ha)	57,000,000	46,344,685	57,000,000	46,344,685	57,000,000	46,344,684
Karukottihewwa, Thamputtal 02, Akkaraipattu.	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	10A-01R-05P (4.1602 Ha)	123,000,000	95,236,734	123,000,000	95,236,734	123,000,000	95,236,734
Galapamillahena, Polarambegama, Kegalle.	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	03A-02R-21.00P (1.4693 Ha.)	28,000,000	25,374,000	31,000,000	25,374,000	31,000,000	25,374,000
No:95, Mallattawela, Wellawaya	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	01A-0R-11.80 P (0.04346 Ha)	15,500,000	5,255,135	15,500,000	5,255,135	15,500,000	5,255,135
Lot No:1538 in Plan no:4813/99 at Udangawa, Ambanpola.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th April 2021.	0.325 Ha)	13,000,000	12,103,871	13,000,000	12,103,871	13,000,000	12,103,872
Lot No:1 in Plan no:1520 & Lot no:1 in Plan no:1522, 'EVERTON ESTATE', Pothupitiya Road, Rakwana	D. Jayawardene (Incorporated Valuer) - valuation report dated 02nd April 2023	73A-01R- 17.56P	64,500,000	27,357,721	64,500,000	27,357,721	64,500,000	27,357,721
No:723/53, 'Lake Terrace' Jayasinghe Mawatha, Korathota Road, Athurugiriya.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th April 2021.	23.52 P	7,500,000	6,016,123	8,000,000	6,016,123	8,000,000	6,016,123
'Kapiwatta' Lot No:A, Plowatta Road, Aluruwagoda.	D. Jayawardene (Incorporated Valuer) - valuation report dated 05th April 2021.	01A-0R-01.48P (0.4085 Ha.)	55,000,000	55,892,177	55,000,000	55,892,177	55,000,000	55,892,177
			452,500,000	334,011,486	474,036,000	331,858,649		



ASIA ASSET FINANCE PLC
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25 INVESTMENT PROPERTY (CONTD..)

	Opening Balance Rs.	Additions Rs.	Disposals Rs.	Closing Balance Rs.
25.3 Movement of Investment Property				
Cost	332,558,649	1,457,836	-	334,011,485
Accumulated depreciation	8,496,456	1,215,972	-	9,712,378
	324,062,193	2,668,758	-	324,799,107

Investment properties include bare lands and buildings acquired by the Company from clients who had defaulted on accommodations granted and purchased properties. These properties are held by the Company for capital appreciation and for rental purposes.

Changes in fair values are recognised as gains in the statement of income and included in 'Net other operating income'.

25.6 There are no restrictions on the realisability of the investment properties.

There are no contractual obligations to construct or develop investment properties or for repairs, maintenance or enhancements.

25.7 Measurement of fair values

25.7.1 Fair value hierarchy

The fair value of investment property was determined by external, independent property valuers, with appropriately recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuers provide the fair value of the Company's investment property portfolio once in three years and the latest valuation done ranges from 30 April 2023 to 31st April 2021. All the fair value of all the properties have been determined based on valuation performed by Mr. D. Jayawardene, Incorporated Valuer, B. Sc. Estate Mgt. & Valuation (Special) A.I.V. (Sri Lanka).

25.7.2 Valuation technique

The following table shows the valuation techniques used in measuring the fair value of investment property, as well as the significant unobservable inputs used.

Valuation Technique	Significant unobservable inputs	Interrelationship between key unobservable input and fair value measurement
Market comparison method - value derived based on recent transactions of similar properties	Per perch value was derived based on similar property values. The value of a perch in the property portfolio ranges from Rs.400,000 to Rs.10,000,000 in the Colombo area and Rs.28,000 to Rs.400,000 outside the Colombo area	The estimated fair value would increase/(decrease) if: Per perch value was higher / (lower)
Depreciated replacement cost method	Value per square feet is determined based on similar properties value and depreciated for period used	The estimated fair value would increase/(decrease) if: Depreciation rate for building was lesser / (higher)



26. INTANGIBLE ASSETS

Accounting Policy

The Company's intangible assets include the value of computer software.

Basis of recognition

An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company in accordance with the Sri Lanka Accounting Standard- LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are stated in the statement of financial position at cost less any accumulated amortisation and any accumulated impairment losses, if any.

Subsequent expenditure

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful economic lives, amortisation and impairment

Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of income in the expense category consistent with the function of the intangible asset. Indefinite-lived intangible assets are not amortized, but are tested for impairment annually or more frequently if events or circumstances indicate the asset may be impaired. Only finite-lived intangible asset is computer software of the Company. There are no indefinite-lived intangible assets which are subject to annual impairment test. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted, if appropriate. The Company assumes that there is no residual value for its intangible assets.

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful economic lives at the rates as specified below:

Computer software - 8 years

Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognized.

Gross carrying amounts	Balance as at 01.04.2023 Rs.	Additions Rs.	Disposals / transfers Rs.	Balance as at 31.03.2024 Rs.
Cost				
Intangible asset	76,684,042	8,472,875	-	85,156,917
	76,684,042	8,472,875	-	85,156,917
Amortisation				
Intangible asset	29,007,816	9,531,653	-	38,539,469
	29,007,816	9,531,653	-	38,539,469
Net book value			31.03.2024 Rs.	31.03.2023 Rs.
Intangible asset			46,617,448	47,676,226
			46,617,448	47,676,226

There were no restrictions on the title of the intangible assets as at the reporting date. Further, there were no items pledged as securities for liabilities.

27. DUE TO BANKS

Accounting Policy

Due to banks include bank overdrafts and 'interest expenses' in the statement of profit or loss.

	31.03.2024 Rs.	31.03.2023 Rs.
Due to bank bank overdrafts	47,637,705	3,763,272
	47,637,705	3,763,272



28 OTHER LIABILITIES

Accounting Policy

Other liabilities include, VAT on financial services payable, tax payable, accrued expenses payable, dividend payable and other amounts payable. These liabilities are recorded at amounts expected to be payable at the reporting date.

	31.03.2024 Rs.	31.03.2023 Rs.
VAT on FS payable	(19,969,111)	26,548,218
Customer related payable	536,231,883	130,587,937
Tax payable	12,420,605	33,746,484
Accrued expenses	29,800,849	29,225,581
Dividend payable	475,406	295,751
Other payable	-	7,832,901
	<u>558,959,632</u>	<u>228,236,872</u>

29 FINANCIAL LIABILITIES - OTHER BORROWED FUNDS

Accounting Policy

Other borrowed funds include other long-term and short term loans obtained from banks and financial institutions. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'Interest expenses' in the Statement of Income. Gains and losses are recognised in the Statement of Income when the liabilities are de-recognised as well as through the EIR amortisation process.

	Note	31.03.2024 Rs.	31.03.2023 Rs.
Securitised borrowings	29.1	4,267,520,832	4,886,931,464
Bank loans	29.2	1,782,974,371	1,175,495,665
		<u>6,050,495,203</u>	<u>6,062,427,129</u>

29.1 Securitised borrowings

	As at 01.04.2023 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2024 Rs.
Securitisation Loan 34 - HNB Bank Trust	216,292,791	-	6,461,796	(222,754,587)	-
Securitisation Loan 36 - HNB Bank Trust	96,799,634	-	658,326	(97,457,960)	-
Securitisation Loan 37 - HNB Bank Trust	52,403,144	-	1,131,411	(53,534,555)	-
Securitisation Loan 38 - HNB Bank Trust	627,940,821	-	61,754,965	(61,866,848)	627,828,939
Securitisation Loan 39 - HNB Bank Trust	431,054,526	-	10,822,134	(441,876,660)	-
Securitisation Loan 40 - HNB Bank Trust	86,067,523	-	9,790,651	(95,858,173)	-
Securitisation Loan 41 - Peoples Bank Trust	892,740,777	-	121,167,510	(935,083,017)	78,825,271
Securitisation Loan 42 - Peoples Bank Trust	1,005,831,888	-	171,859,344	(955,828,315)	221,862,917
Securitisation Loan 43 - NDB Bank Trust	1,070,391,185	-	215,633,128	(834,340,257)	451,684,056
Securitisation Loan 44 - NDB Bank Trust	407,409,175	593,000,000	231,891,333	(413,970,556)	818,329,952
Securitisation Loan 45 - NDB Bank Trust	-	1,000,000,000	95,503,707	(54,399,836)	1,041,103,871
Securitisation Loan 46 - NDB Bank Trust	-	1,000,000,000	30,028,374	(2,142,548)	1,027,885,826
	<u>4,886,931,464</u>	<u>2,593,000,000</u>	<u>956,702,679</u>	<u>(4,169,113,312)</u>	<u>4,267,520,832</u>

29.2 Bank loans

	As at 01.04.2023 Rs.	Loans obtained Rs.	Interest for the period Rs.	Repayments Rs.	As at 31.03.2024 Rs.
HNB Bank Loan 04	204,200,000	-	31,108,393	(147,748,393)	87,560,000
DFCC Vardhana Bank 04	9,375,000	-	391,332	(9,766,332)	(0)
Sampath Bank Loan 03	4,950,036	-	104,831	(5,054,867)	-
DFCC Vardhana Bank 05	173,641,292	-	27,593,050	(104,766,970)	96,467,372
DFCC Vardhana Bank 06	208,333,337	-	30,086,216	(135,294,553)	103,125,000
DFCC Vardhana Bank Revolving Loan	-	500,000,000	-	-	500,000,000
Nations Trust Bank Loan 03	200,000,000	-	32,899,658	(132,899,658)	100,000,000
NDB Loan 1	374,996,000	-	61,099,201	(186,103,201)	249,992,000
Sampath Bank Loan	-	750,000,000	43,018,083	(147,188,083)	645,830,000
	<u>1,175,495,665</u>	<u>1,250,000,000</u>	<u>226,300,763</u>	<u>(858,822,057)</u>	<u>1,782,974,371</u>



29 OTHER BORROWED FUNDS (CONTD...)

29.3 Loan details

Bank	Approved facility	Purpose	Term of the loan	Security	Underline security amount for outstanding balance Rs. Mn
Securitisation loan 38	Rs. 600 Mn	Working capital requirements	36 monthly instalments	Mortgage bond gold loan receivable LKR 816Mn	627.83
Securitisation loan 41	Rs. 1,217 Mn	Working capital requirements	24 monthly instalments	Mortgage bond gold loan receivable LKR 102Mn	78.83
Securitisation loan 42	Rs. 1000 Mn	Working capital requirements	20 monthly instalments	Mortgage bond gold loan receivable LKR 288Mn	221.86
Securitisation loan 43	Rs. 1000 Mn	Working capital requirements	24 monthly instalments	Mortgage bond gold loan receivable LKR 587Mn	451.68
Securitisation loan 44	Rs. 1000 Mn	Working capital requirements	18 monthly instalments	Mortgage bond gold loan receivable LKR 1064Mn	818.33
Securitisation loan 45	Rs. 1000 Mn	Working capital requirements	16 monthly instalments	Mortgage bond gold loan receivable LKR 1353Mn	1041.10
Securitisation loan 46	Rs. 1000 Mn	Working capital requirements	24 monthly instalments	Mortgage bond gold loan receivable LKR 1336Mn	1027.89
HNB Bank Loan 04	Rs. 350 Mn	Working capital requirements	36 monthly instalments	Mortgage bond over gold loan portfolio LKR 131Mn	87.56
DFCC Bank Loan 05	Rs. 300 Mn	Working capital requirements	48 monthly instalments	Promissory note for Rs. 300 Mn	96.47
DFCC Bank Loan 06	Rs. 300 Mn	Working capital requirements	36 monthly instalments	Primary mortgage for Rs. 300 Mn over gold loan receivable portfolio with	103.13
Nations Trust Bank Loan 03	Rs. 300 Mn	Working capital requirements	36 monthly instalments	Primary mortgage for Rs. 300 Mn over gold loan	100.00
Samapth Bank Loan	Rs. 750 Mn	Working capital requirements	36 monthly instalments	Primary mortgage for 750 Mn over gold loan	645.83
DFCC Vandhana Bank Revolving Loan	Rs. 500 Mn	Working capital requirements	Within 03 months	Primary mortgage for Rs. 500 Mn over gold loan receivable portfolio with	500.00
NDB Loan 1	Rs. 500 Mn	Working capital requirements	48 monthly instalments	Primary mortgage for Rs. 500 Mn over gold loan	249.99



30. RIGHT-OF-USE ASSETS - LEASE LIABILITY

Accounting Policy

At the commencement date of the lease, the Company recognises lease liabilities, measured at present value of lease payments to be made over the lease term. The present value of lease commitments has been calculated using the weighted average incremental borrowing rate.

	31.03.2024 Rs.	31.03.2023 Rs.
Balance at the beginning of the year	199,066,151	207,778,443
Additions/renewal of operating lease during the year	73,021,458	46,331,984
Accretion of interest	42,338,086	31,420,978
Payments made during the year	(94,982,460)	(82,804,290)
Expiration of operating lease agreements during the year	-	(4,052,964)
Transferred from other advances	-	392,000
Balance at the end of the year	219,443,235	199,066,151
Weighted average incremental borrowing rate used	15%	40%

30.1 Sensitivity of Right-of-Use Assets / Lease Liability to Key Assumption

Sensitivity to Incremental borrowing rates

Increase/(decrease) in incremental borrowing rate as at 31st March 2024 by 1%, would have (decreased)/increased the lease liability by approximately Rs. 5.1 Mn (Rs. 3.6Mn as at 31 st March 2023) with a similar (decrease/increase) in Right-of-use assets. Had the Company increased/(decreased) the incremental borrowing rate by 1%, the Company's profit before tax for the year would have (decreased)/increased by approximately Rs. 0.034Mn (Rs. 0.037 Mn 31st March 2023).

31. DUE TO CUSTOMERS

Accounting Policy

Due to customers include fixed deposits and savings deposits. Subsequent to initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'interest expenses' in the Statement of Income. Gains and losses are recognized in the Statement of Income when the liabilities are derecognised.

Deposits of Rs.592,812,733 /- (2023: Rs. 392,746,498/-) held as collateral for Loans against deposits were included in Due to customers.

In compliance with the Finance Companies (Insurance of Deposit Liabilities) Direction No. 02 of 2010, all the eligible deposit liabilities have been insured with the Sri Lanka Deposit Insurance and Liquidity Support Scheme, as a safety net measure that will safeguard the customer's rights and confidence. The Company has paid Rs.21,471,433.66 /- as the premium for the above insurance scheme during the year. (2023: Rs.14,513,063/-).

	31.03.2024 Rs.	31.03.2023 Rs.
Fixed deposits	14,472,621,940	13,273,274,499
Savings deposits	12,514,226	1,694,073
	14,485,136,166	13,274,968,572

31.1 Remaining Maturity - Fixed Deposits

As at	Within one year Rs.	Within 1-5 year Rs.	Total Rs.
31.03.2023	11,405,904,984	1,867,369,515	13,273,274,499
31.03.2024	11,351,532,214	3,121,089,726	14,472,621,940



32. DEBENTURE

Accounting Policy

Debentures issued represent the funds borrowed by the Company for long-term and short-term liquidity fund requirements. Subsequent to initial recognition, these are measured at their amortised cost using the EIR method. EIR is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'Interest expenses' in the Statement of Income. Gains and losses are recognised in the Statement of Profit or Loss when the liabilities are derecognized.

The Company debenture comprises LKR 28n , listed, rated, secured (asset backed), redeemable debentures each worth LKR 100 issued in Oct 2020 and Aug 2021 and with a tenure of 3 years and 5 years. These debentures are listed in the Colombo Stock Exchange. The Lanka Rating Agency issued a rating of A with a Stable outlook which was announced on 27th January 2023, which is currently under review.

	31.03.2024		31.03.2023	
	Number	Rs.	Number	Rs.
Type A Debenture	-	-	4,613,000	482,197,484
Type B Debenture	-	-	5,387,000	617,508,201
Type A2 Debenture	1,005,100	106,216,299	1,005,100	105,756,155
Type B2 Debenture	3,342,400	335,619,347	3,342,400	337,312,424
Type C Debenture	15,500	1,655,855	15,500	1,636,710
Type D Debenture	5,637,000	615,238,943	5,637,000	643,108,162
	10,000,000	1,058,730,444	20,000,000	2,187,519,136

32.1 Interest Rate of the debentures

Instrument Type	Interest Frequency (Fixed Rate)	Coupon rate (% p.a.)	Interest yield as at last trade	Yield to Maturity Of last trade done	comparable Government security
Type A Debenture	Annually	10.28%	Not Traded	Not Traded	10.28%
Type B Debenture	Annually	30.20%	Not Traded	Not Traded	10.28%
Type A2 Debenture	Annually	8.76%	Not Traded	Not Traded	10.28%
Type B2 Debenture	Monthly	13.56%	Not Traded	Not Traded	10.28%
Type C Debenture	Annually	9.26%	Not Traded	Not Traded	10.28%
Type D Debenture	Annually	17.34%	Not Traded	Not Traded	10.28%

32.2 Market price and issue prices of debentures recorded during the year ended 31st March 2024 are as follows:

Instrument Type	Issued Price Rs.	Highest Price Rs.	Lowest Price Rs.	Last Traded Price Rs.	Last traded Date
Type A Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type B Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type A2 Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type B2 Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type C Debenture	100	Not Traded	Not Traded	Not Traded	N/A
Type D Debenture	100	Not Traded	Not Traded	Not Traded	N/A

32.3 Categories

	Allotment date	Coupon rate (% p.a.)	Number	Transaction Cost Rs.	Value Rs.
Type A2 Debenture	20th August 2021	8.76%	1,005,100	810,367	106,216,299
Type B2 Debenture	20th August 2021	13.56%	3,342,400	2,695,918	335,619,347
Type C Debenture	20th August 2021	9.26%	15,500	9,339	1,655,855
Type D Debenture	20th August 2021	17.34%	5,637,000	4,458,606	615,238,943
			10,000,000	7,974,230	1,058,730,444

32.4 Movement of the Debenture

Balance at the beginning of the year
Add : Issued during the year
Interest expense on subordinated debt
Settled during the year
Less : Interest paid on subordinated debt
Balance at the end of the year



	31.03.2024	31.03.2023
	Rs.	Rs.
	2,187,519,136	2,072,877,339
	361,151,772	380,783,577
	(1,000,000,000)	-
	(489,940,465)	(266,141,779)
	1,058,730,444	2,187,519,136

33. RETIREMENT BENEFIT OBLIGATION

Accounting Policy

The Company measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the 'Projected Unit Credit method' (PUC) as required by the Sri Lanka Accounting Standard- LKAS 19 on 'Employee Benefits'.

Recognition of actuarial gains and losses

The Company recognises the total actuarial gains and losses that arise in calculating the Company's obligation in respect of the plan in other comprehensive income during the period in which it occurs.

Funding arrangements

The gratuity liability is not externally funded.

Defined contribution plans - Employees' Provident Fund

The Company and the employees contribute to the Employees' Provident Fund managed by the Central Bank of Sri Lanka at 12% and 8% respectively on the gross salary of each employee.

Defined contribution plans - Employees' Trust Fund

The Company contributes to the Employees' Trust Fund at 3% on the gross salary of each employee.

	31.03.2024 Rs.	31.03.2023 Rs.
Retirement benefit obligations - gratuity		
Balance at the beginning of the year	45,722,533	32,796,379
Amount recognised in the profit and loss		
Current service cost for the year	7,177,482	4,219,106
Interest cost for the year	6,858,380	2,260,153
Past service cost	-	(261,513)
	14,035,862	6,217,746
Amount recognized in other comprehensive income		
Actuarial gain on retirement benefit liability	(12,730,464)	11,026,808
Others	-	-
Payments made during the year	(7,484,505)	(4,318,400)
Balance at the ending of the year	39,543,426	45,722,533

- 33.1 Messrs. Actuarial and Management Consultants (Pvt) Ltd, Actuaries, carried out an actuarial valuation of the retirement benefit obligation for Asia Asset Finance PLC as at 31st March, 2023. The valuation method used by the Actuary to value the liability is the 'Projected Unit Credit Actuarial Cost Method' recommended by LKAS 19. Appropriate and compatible assumptions were used in determining the cost of retirement benefits.

Actuarial valuation for defined benefit obligation was carried out as at 31 March 2024 by Mr. M. Poopalanathan, a Fellow of the Society of Actuaries (USA). The valuation method used by the actuaries to value the obligation is the "Projected Unit Credit Method", a method recommended by the Sri Lanka Accounting Standard - LKAS 19 on "Employee Benefits".

The Defined Benefit Plan of an entity is for a retired employee to receive a payment equal to half of the last drawn monthly salary multiplied by the number of completed years of service. However, as per the Statute, the Company is liable to pay gratuity only upon the completion of 5 continuous years of service.

- 33.2 Actuarial assumptions used in calculating the gratuity liability are given below:

	31.03.2024 Rs.	31.03.2023 Rs.
Discount rate	12.40%	15.0%
Salary increment rate	5%	15%
Staff turnover	17%	19%
Retirement age	60 years	60 years
Mortality	67/70 Mortality Table (Institute of Actuaries, London)	



33. RETIREMENT BENEFIT OBLIGATION (CONTD...)

33.3 Sensitivity analysis

The impact arising from the possible changes in the discount rate and salary escalation rates on the gratuity valuation of the Company is as follows:

	31.03.2024 Rs.	31.03.2023 Rs.
Discount rate		
Effect on retirement benefit obligation due to 1% increase	(1,474,616)	(2,133,872)
Effect on retirement benefit obligation due to 1% decrease	1,594,429	1,990,512
Salary increment rate		
Effect on retirement benefit obligation due to 1% increase	1,806,724	1,860,019
Effect on retirement benefit obligation due to 1% decrease	(1,692,927)	(2,026,826)

33.4 Analysis of retirement benefit obligation by maturity profile

The following note analyses the defined benefit obligation by the expected future working life time of each individual employee. The expected future working life time considers the probability of an employee's exit due to withdrawal, death or disability prior to the retirement date.

	31.03.2024 Rs.	31.03.2023 Rs.
Within next 12 Months	9,880,856	11,430,633
Between 1-5 Years	15,817,370	18,289,013
Beyond 5 years	13,840,200	16,002,887
	39,540,426	45,722,533



34. STATED CAPITAL

Accounting Policy
Capital

The Company maintains an actively managed capital base to cover the risks inherent to the business and is meeting the capital adequacy requirements of the Central Bank of Sri Lanka. The adequacy of the Company's capital is monitored using, among other measures, the rules and ratios established by the Central Bank of Sri Lanka.

	31.03.2024		31.03.2023	
	Number	Rs.	Number	Rs.
Fully paid ordinary shares	124,195,533	1,791,478,691	124,195,533	1,791,478,691

34.1 Rights of shareholders

The holders of ordinary shares confer their rights to receive dividends as declared from time to time and are entitled to one vote per share at the meeting.

All shares rank equally with regard to the Company's residual assets.

34.2 Fully paid Preference Shares

	31.03.2024		31.03.2023	
	Number	Rs.	Number	Rs.
Balance at the beginning of the year	41,398,511	413,985,110	41,398,511	413,985,110
Shares issued during the year	-	-	-	-
Balance at the end of the year	41,398,511	413,985,110	41,398,511	413,985,110

These convertible, irredeemable preference shares to be deemed converted to ordinary shares, immediately upon the completion of five years from the date of issue and to be listed subsequently. As such, these shares are considered as a part of equity.

		31.03.2024	31.03.2023
		Rs.	Rs.
35. STATUTORY RESERVE FUND AND OTHER RESERVES			
Statutory reserve fund	35.1	207,969,075	139,131,735
General reserve	35.2	3,000,000	3,000,000
Regulatory Loss Allowance Reserve	35.3	124,468,915	74,710,655
Revaluation Reserve	35.4	30,457,762	-
		365,895,752	216,842,390

35.1 Statutory reserve fund

Statutory reserve fund is a capital reserve which contains profits transferred as required by Section 3 (b) (ii) of the Finance Companies (Capital Funds) Direction No. 1 of 2003. The Company transfers a sum equal to not less than twenty (20) per cent of the net profits; so long as the capital funds are less than twenty five (25) per cent of total deposit liabilities, but not less than ten (10) per cent.

35.2 General reserve

General reserve represents the amounts set aside by the directors for general application.

35.3 Regulatory loss allowance reserve

Statutory reserve fund is a reserve which contains profits transferred as required by Section 7.1.3 of the Finance Companies Classification and Measurement of Credit Facilities Direction No. 1 of 2020.

36. EARNINGS PER SHARE

Accounting Policy

Basic EPS is calculated by dividing the profit for the year attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of dilutive potential ordinary shares into ordinary shares.

	31.03.2024	31.03.2023
	Rs.	Rs.
36.1 Basic earnings per share		
The following reflects the income and share data used in the basic earnings per share computation.		
Amounts used as the numerator		
Profit attributable to ordinary shareholders for basic earnings per share	344,186,703	295,135,422
Number of ordinary shares used as denominator for basic earnings per share	31.03.2024	31.03.2023
	Number	Number
Weighted average number of ordinary shares in issue	124,195,533	124,195,533
Basic earnings per share (Rs.)	2.77	2.38



36. EARNINGS PER SHARE (CONTD...)

36.2 Diluted earnings per share

The following reflects the income and share data used in the diluted earnings per share computation.

	Note	31.03.2024 Rs.	31.03.2023 Rs.
Amounts used as the numerator			
Profit attributable to ordinary shareholders for basic earnings per share		344,186,703	295,335,422
Number of ordinary shares used as denominator for basic earnings per share		Number	Number
Adjusted weighted average number of ordinary shares in issue	36.2.1	165,594,044	165,594,044
Diluted earnings per share (Rs.)		2.08	1.78
36.2.1 Adjusted weighted average number of ordinary shares in issue		124,195,533	124,195,533
Weighted average number of ordinary shares in issue before dilution		41,398,511	41,398,511
Number of ordinary shares in convertible preference shares		165,594,044	165,594,044
Adjusted weighted average number of ordinary shares in issue			
36.3 Net assets value per share			
Total Equity attributable to ordinary shareholders		3,365,417,595	3,010,840,762
Weighted average number of ordinary shares		124,195,533	124,195,533
Net assets value per share		27.10	24.24

37. CONTINGENT LIABILITIES AND COMMITMENTS

Accounting Policy

Contingent Liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be readily measured as defined in the Sri Lanka Accounting Standard, LKAS 37 - 'Provisions, Contingent Liabilities and Contingent Assets'. In the normal course of business, the Company makes various commitments and incurs contingent liabilities. No material losses are anticipated as a result of these transactions.

	Note	31.03.2024 Rs.	31.03.2023 Rs.
Commitments			
Promissory note to DFCC Bank PLC loans	37.1	300,000,000	450,000,000
Undrawn commitments	37.2	519,276,721	198,053
Bank guarantee	37.3	70,308,228	80,335,569
Capital commitments	37.4	7,598,555	4,050,000
		897,183,504	534,583,622

37.1 Promissory notes

The related loan balances on issued promissory notes as at the reporting date are as follows:

	Promissory note value Rs.	Loan outstanding as at 31.03.2024 Rs.
Promissory notes to DFCC Bank PLC		
DFCC Bank Loan 05	300,000,000	96,467,372
	300,000,000	96,467,372

37.2 Undrawn commitments

Undrawn commitments consist of facilities granted to customers where the Company reserves the right to unconditionally cancel or recall the facility at its discretion.

37.3 Bank Guarantee

Purpose	Issue Bank	Bank Guarantee No	Period	31.03.2024 Rs.	31.03.2023 Rs.
Tax appeal	NDB Bank	LG/G24/0439	From 23rd January 2024 up to 22nd January 2025	1,051,182	1,051,182
Tax appeal	NDB Bank	LG/G23/0325	From 23rd January 2023 up to 22nd January 2024		365,948



37. CONTINGENT LIABILITIES AND COMMITMENTS (CONTD....)

37.3 Bank Guarantee

Purpose	Issue Bank	Bank Guarantee No	Period	31.03.2024 Rs.	31.03.2023 Rs.
Tax appeal	NDB Bank	LG/G23/0330	From 23rd January 2023 up to 22nd January 2024	-	365,948
Tax appeal	NDB Bank	LG/G23/0327	From 23rd January 2023 up to 22nd January 2024	-	7,766,725
Tax appeal	NDB Bank	LG/G24/0440	From 23rd January 2024 up to 22nd January 2025	2,716,302	2,716,302
Tax appeal	NDB Bank	LG/G23/0324	From 23rd January 2023 up to 22nd January 2024	-	767,987
Foreign Currency Buying and Selling	Sampath Bank	398720220010	From 15th May 2023 up to 14th May 2024	2,500,000	2,500,000
Tax appeal	NDB Bank	LG/G23/0331	From 23rd January 2023 up to 22nd January 2024	-	926,681
Tax appeal	NDB Bank	LG/G24/0436	From 23rd January 2024 up to 22nd January 2025	56,439,716	56,439,716
Tax appeal	NDB Bank	LG/G23/0328	From 23rd January 2023 up to 22nd January 2024	-	4,987,395
Tax appeal	NDB Bank	LG/G24/0438	From 23rd January 2024 up to 22nd January 2025	2,813,633	2,813,633
Tax appeal	NDB Bank	LG/G24/0437	From 23rd January 2024 up to 22nd January 2025	4,787,395	-
				<u>70,308,228</u>	<u>80,335,569</u>

37.4 Capital Commitments

The Company has implemented several IT enhancements to improve its overall operations. One of the key enhancements is the development of a mobile application that is linked with the core banking solution. This app enables customers to access their accounts and perform banking transactions on the go. The Company has also implemented IT security enhancements to safeguard its data from cyber threats. These include advanced firewalls, intrusion detection systems, and encryption technologies. Capital commitments amounting to Rs. 7,598,555/- includes the cost committed to implement a customer digital onboarding mechanism using mobile based interface to provide a cutting edge digital experience to the customers.

38. Litigation against the Company

Litigation is a common occurrence in the finance industry due to the nature of the business undertaken. The Company has formal controls and policies for managing legal claims. In respect of pending legal claims where the Company had already made provisions for possible losses in the Financial Statements or has a realisable security to cover the damages are not included below as the Company does not expect cash outflows from such claims. However, further adjustments are made to the Financial Statements if necessary on the adverse effects of legal claims based on the professional advice obtained on the certainty of the outcome and also based on a reasonable estimate. Given below are the unresolved legal claims against the Company as at 31st March 2024 for which, adjustments to the Financial Statements have not been made due to the uncertainty of its outcome. The Company's legal counsel is of the opinion that litigation which is currently pending, will not have a material impact on the reported financial results or future operations of the Company.

	31.03.2024 Rs.	31.03.2023 Rs.
Cases pending against the Company	460,756,723	301,006,845

39. Contingent Liabilities

Except for the contingent liabilities disclosed above, the Company does not have any other significant contingent liabilities as at the reporting date.

40. ASSETS PLEDGED

The assets pledged as securities for liabilities have been disclosed under note 29.1.



45. MATURITY ANALYSIS

The table below summarises the maturity profile of the undiscounted cash flows of the Company's Financial assets and liabilities as at 31 March 2024. Repayments which are subject to notice are treated as if the notice were to be given immediately. However, the Company expects that many customers will not request repayment on the earliest date the Company could be required to pay and the table does not reflect expected cash flows indicated by the Company's deposit retention history. An analysis of the total assets employed and the total liabilities at the year end, based on the remaining balance at the reporting date to the respective contractual maturity dates is given below:

	Less than 3 months Rs.	3-12 months Rs.	1-3 years Rs.	Over 3 years Rs.	Total Rs.
Cash and cash equivalents	3,887,692,725	-	-	-	3,887,692,725
Investment in reverse repurchase agreements against the treasury bills and bonds and other securities at amortised cost	-	1,690,988,387	-	64,483,914	1,755,472,300
Other financial assets	-	-	-	-	-
Financial assets - fair value through profit or loss /	9,454,650,839	4,148,512,531	4,305,022,412	883,703,518	18,791,889,311
Financial assets at amortised cost - Lease rentals	203,039,025	37,925,780	24,654,335	-	265,619,140
Other assets	15,966,963	96,349,242	17,816,886	-	130,133,091
Income tax receivable	-	-	-	-	-
Deposits and prepayments	7,714,746	58,709,179	27,404,800	8,985,000	102,813,725
Financial assets - Fair value through other comprehensive income/available for sale	-	-	-	506,659	506,659
Right-of-use assets	8,840,630	26,521,890	71,805,560	79,270,981	186,439,061
Property, plant and equipment	-	-	-	313,284,112	313,284,112
Investment property	-	101,242,366	-	223,056,741	324,299,107
Deferred tax asset	15,000,000	23,350,183	-	-	38,350,183
Intangible assets	-	-	-	46,617,448	46,617,448
As at 31.03.2024	13,592,904,931	6,183,799,559	4,446,703,993	1,619,908,382	25,843,316,865
As at 31.03.2023	21,616,586,540	1,669,800,076	1,156,269,755	569,888,054	25,012,544,427
Liabilities					
Financial liabilities - Due to banks	47,637,705	-	-	-	47,637,705
Other liabilities	558,959,632	-	-	-	558,959,632
Financial liabilities - Other borrowed funds	1,838,040,823	3,073,687,585	1,138,766,796	-	6,050,495,203
Leased liability	10,405,634	31,216,898	84,516,862	93,303,841	219,443,235
Debenture	(47,065,521)	541,355,685	564,440,281	-	1,058,730,444
Due to customers	5,168,395,872	6,183,136,342	2,476,273,363	644,816,363	14,472,621,940
Savings Control	12,514,226	-	-	-	12,514,226
Retirement benefit obligation	-	9,885,856	15,817,370	13,840,199	39,543,426
Income tax payable	-	17,953,458	-	-	17,953,458
As at 31.03.2024	7,588,888,371	9,857,235,824	4,279,814,672	751,960,403	22,477,899,270
As at 31.03.2023	5,859,832,553	10,415,667,219	4,625,720,145	1,100,483,747	22,001,703,664
Net amount					
As at 31.03.2024	6,004,016,560	(3,673,436,266)	166,889,321	867,947,979	3,365,417,595
As at 31.03.2023	15,756,753,987	(8,745,867,143)	(3,469,450,390)	(530,595,693)	3,010,840,763



42. CURRENT/NON-CURRENT ANALYSIS

	31.03.2024			31.03.2023		
	Within 12 months Rs.	After 12 months Rs.	Total Rs.	Within 12 months Rs.	After 12 months Rs.	Total Rs.
Cash and cash equivalents	3,887,692,725	-	3,887,692,725	2,063,128,895	-	2,063,128,895
Investment in reverse	1,690,988,387	64,483,914	1,755,472,300	2,444,830,041	-	2,444,830,041
Financial assets at amortised cost - Lease rentals receivable	13,603,163,371	5,188,725,940	18,791,889,311	18,197,596,712	831,067,845	19,028,664,557
Financial assets at amortised cost - Lease rentals receivable and hire purchase	240,964,805	24,654,335	265,619,140	319,498,851	130,137,367	449,636,218
Other assets	112,316,207	17,816,886	130,133,093	38,488,876	89,070,778	127,559,654
Income tax receivable	-	-	-	27,593,548	-	27,593,548
Advances, deposits and prepayments	66,423,925	36,389,800	102,813,725	49,829,768	27,204,800	77,034,568
Financial assets - Fair value through other comprehensive income/available for sale	-	506,659	506,659	-	506,659	506,659
Right-of-use assets	35,362,520	151,076,540	186,439,060	56,583,185	124,059,023	180,642,208
Property, plant and equipment	-	313,284,112	313,284,112	-	203,787,014	203,787,014
Investment property	101,242,366	223,056,741	324,299,107	51,414,094	272,648,098	324,062,192
Deferred tax asset	38,550,183	-	38,550,183	37,422,647	-	37,422,647
Intangible assets	-	46,617,448	46,617,448	-	47,676,226	47,676,226
Total assets	19,776,704,489	6,066,612,375	25,843,316,864	23,286,386,617	1,726,157,810	25,012,544,427
Liabilities						
Financial liabilities - Due to bank	47,637,705	-	47,637,705	3,763,272	-	3,763,272
Other liabilities	558,959,632	-	558,959,632	37,058,482	191,178,390	228,236,872
Financial liabilities - Other borrowed funds	4,911,728,407	1,138,766,796	6,050,495,203	3,664,979,656	2,397,447,472	6,062,427,128
Leased liability	41,622,532	177,820,703	219,443,235	47,260,308	151,805,843	199,066,151
Debenture	494,290,164	564,440,281	1,058,730,444	1,114,838,997	1,072,680,129	2,187,519,126
Due to customers	11,351,532,214	3,121,089,726	14,472,621,940	11,405,904,984	1,867,369,515	13,273,274,499
Savings Control	12,514,226	-	12,514,226	1,694,073	-	1,694,073
Retirement benefit obligation	9,885,856	29,657,570	39,543,426	-	45,722,533	45,722,533
Income tax payable	17,953,458	-	17,953,458	-	-	-
Total liabilities	17,446,124,195	5,031,775,075	22,477,899,270	16,275,499,772	5,726,203,892	22,001,703,664
Net balance	2,330,580,294	1,034,837,300	3,365,417,594	7,010,886,845	(4,000,046,082)	3,010,840,763

43. ASSETS AND LIABILITIES MEASURED AT FAIR VALUE AND FAIR VALUE HIERARCHY

43.1 Determination of fair value and fair value hierarchy

The following is a description of how fair values are determined for financial and non-financial assets and liabilities that are recorded at fair value using the valuation techniques. They incorporate the Company's estimate of assumptions that a market participant would make when valuing the instruments. As at 31st March 2024 the Company held the following assets carried at fair value on the statement of financial position. The Company uses the following hierarchy for determining and disclosing the fair value of those assets by valuation technique:

43.2 Financial assets - Fair Value through other comprehensive income

Financial assets - Fair value through other comprehensive income valued using the valuation techniques or pricing models, primarily consists of unquoted investment securities. These unquoted investment securities are valued using observable market data. Inputs to the fair value measurements are reviewed to ensure that they are appropriately categorised within the fair value hierarchy. Transfers into and transfers out of the hierarchy levels are recognised as if they had taken place at the end of the reporting period.

43.3 Financial assets - Fair value through profit or loss

Financial assets - Fair value through profit or loss valued using the valuation techniques primarily consist of quoted investments. These quoted assets are valued using quoted market price in an active market of each security.



43. ASSETS AND LIABILITIES MEASURED AT FAIR VALUE AND FAIR VALUE HIERARCHY

43.4 Financial Assets and Liabilities carried at Amortized Cost

The fair value of mixed rate financial assets and liabilities carried at amortised cost are estimated based on the Discounted Cash Flow approach. This approach employs the current market interest rates of similar financial instruments as a significant unobservable input in measuring the fair value and hence, it is categorized under level 3 in the fair value hierarchy.

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

43.4.1 Assets measured at fair value

31.03.2024				
	Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
Financial assets - Fair value through other comprehensive income	506,659	-	-	506,659
Non Financial assets - Property Plant and Equipment - Motor Vehicle	55,356,509	-	55,356,509	-
Total assets at fair value	506,659	-	-	506,659

31.03.2023				
	Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
Financial assets - Fair value through other comprehensive income	506,659	-	-	506,659
Total assets at fair value	506,659	-	-	506,659

43.4.1 Assets measured at Amortised Cost

31.03.2024					
	Rs.	Amortized Cost Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
Financial assets - amortised cost					
Investment in reverse repurchase agreements against the treasury bills and bonds and other securities at amortised cost	1,755,472,300			1,755,472,300	
Financial assets at amortised cost - Loans and advances	18,791,889,311			18,791,889,311	
Financial assets at amortised cost - Lease rentals receivable and hire purchase	265,619,140			265,619,140	
Financial liabilities - amortised cost					
Financial liabilities - Other borrowed funds	6,050,495,203			6,050,495,203	
Due to customers	14,485,136,166			14,485,136,166	
Debenture	1,058,730,444			1,058,730,444	

31.03.2023					
	Rs.	Amortized Cost Rs.	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
Financial assets - amortised cost					
Investment in reverse repurchase agreements against the treasury bills and bonds and other securities at amortised cost	2,444,830,041			2,444,830,041	
Financial assets at amortised cost - Loans and advances	19,028,664,556			19,028,664,556	
Financial assets at amortised cost - Lease rentals receivable and hire purchase	449,636,218			449,636,218	
Financial liabilities - amortised cost					
Financial liabilities - Other borrowed funds	6,062,427,129			6,062,427,129	
Due to customers	13,274,968,572			13,274,968,572	
Debenture	2,187,519,136			2,187,519,136	



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44. FINANCIAL REPORTING BY SEGMENT

As per the provisions of Sri Lanka Financial Reporting Standards, SLFRS- 8, the operating segment of the Company have been identified based on the product and services offered by the Company of which level of risk and rewards is significantly different from one another.

Top management of the Company considers the operating results and condition of its business segments in their decision making process and performance evaluation. Types of products and services from which each operating segment derives its revenues are described as follows.

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Company's other components. All operating segments are reported separately to the Company's chief operating decision maker, who uses the information to make decisions about resources to be allocated to the segment and to assess its performance, and for which discrete financial information is available.

the Board of Directors (including the Chairman of the Board and the Chief Executive Officer) shall be allocated on a reasonable basis.

times of conducts and services from which each operating segment derives its revenues described as follows:

Types of products and services from which each operating segment derives its revenues are used as follows:

Lease & Hire-purchase - This segment includes Leasing and Hire Purchase.

Loans - This segment includes loan products offered to the customers.

Gold - Loans This segment includes Gold Loan products on

Investment - This segment includes treasury investments.

	Finance lease		Hire purchase		Gold Loan		Loans and advances		Investment		Other		Total	
	31.03.2024	31.03.2023	31.03.2024	31.03.2023	31.03.2024	31.03.2023	31.03.2024	31.03.2023	31.03.2024	31.03.2023	31.03.2024	31.03.2023	31.03.2024	31.03.2023
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	54,229,485	132,929,191	-	2,787,190	4,046,372,143	4,348,039,844	545,139,466	369,302,150	1,016,664,535	533,593,660	-	-	5,682,407,639	9,391,701,835
Other income	51,513,609	69,145,503	-	7,000	677,741,265	385,755,895	198,328,276	167,465,699	179,520	240,000	11,966,780	12,001,081	92,149,649	654,633,182
Total revenue	106,743,094	202,074,694	-	2,794,190	4,704,113,410	4,733,895,743	743,463,742	516,767,849	1,016,844,053	533,833,660	11,966,780	12,001,081	5,602,551,079	6,046,335,017
Segmental result	7,731,189	13,873,270	-	187,228	340,645,637	317,197,254	55,314,758	34,626,603	73,634,184	35,770,103	866,568	884,682	478,191,395	402,461,139
Value added tax on financial services	-	-	-	-	-	-	-	-	-	-	-	-	-	(42,825,463)
Profits from operations	-	-	-	-	-	-	-	-	-	-	-	-	-	359,639,676
Income tax charge for the year	-	-	-	-	-	-	-	-	-	-	-	-	-	(29,301,136)
Net profit for the year	-	-	-	-	-	-	-	-	-	-	-	-	-	344,186,703
Segment assets	265,619,140	449,636,218	-	-	14,085,060,429	16,400,268,960	4,706,028,082	2,628,395,596	5,643,671,604	4,598,465,595	-	-	24,761,180,135	23,986,766,369
Unallocated assets	-	-	-	-	-	-	-	-	-	-	-	-	-	1,025,778,056
Total assets	265,619,140	449,636,218	-	-	14,085,060,429	16,400,268,960	4,706,028,079	2,628,395,596	5,643,671,604	4,598,465,595	-	-	25,843,316,864	25,012,544,425
Segment liabilities	232,722,851	401,556,915	-	-	12,340,660,217	34,719,621,068	6,123,899,462	2,359,045,895	4,944,716,779	4,046,452,243	-	-	21,641,699,518	21,528,678,111
Unallocated liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	473,025,554
Total liabilities	232,722,851	401,556,915	-	-	12,340,660,217	34,719,621,068	6,123,899,462	2,359,045,895	4,944,716,779	4,046,452,243	-	-	21,641,699,518	21,528,678,111
Unallocated liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	473,025,554
Total liabilities	232,722,851	401,556,915	-	-	12,340,660,217	34,719,621,068	6,123,899,462	2,359,045,895	4,944,716,779	4,046,452,243	-	-	21,641,699,518	21,528,678,111

4. *Assets*—Assets have been allocated on a proportionate basis on interest income and the segment liabilities have been proportionately allocated based on segment assets.



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45. RELATED PARTY DISCLOSURES

As per the Sri Lanka Accounting Standard - LKAS -24 "Related Party Disclosures", the KMPs include those who have the authority and responsibility for planning, directing and controlling the activities of the Company. Accordingly, the Board of Directors of the Company, Immediate parent Company and members of the Corporate Management of the Company have been classified as KMPs of the Company. The Company carries out transactions with KMPs and their close family members in the ordinary course of its business on an arms length basis at commercial rates. Close family members of KMPs are those family members who may be expected to influence, or be influenced by, those KMPs in their dealing with the entity. During the period under review there were no non-recurrent related party transactions which exceeded 10% of the equity or 5% of the total assets, whichever is lower, in the Company. During the period under review, there were no recurrent related party transactions which exceeded 10% of the gross revenue/income.

The Company carries out transactions in the ordinary course of its business on an arm's length basis at commercial rates with related parties. Details of significant related party disclosures are as follows:

45.1 Parent and ultimate controlling party

The ultimate parent of the Company as at 31st March 2024 is Muthoot Finance Limited.

45.2 Transactions with related entities

45.2.1 Muthoot Finance Limited

Relationship - Ultimate parent

Transactions during the year

Expenses incurred for Muthoot Finance Limited

31.03.2024	31.03.2023
Rs.	Rs.
1,316,741	4,958,509

45.3 Transactions with key management personnel of the Company

The key managerial personnel of the Company are the members of its Board of Directors and the parent Company. The following transactions were entered into between the Company and its key management personnel and their close family members.

31.03.2024	31.03.2023
Rs.	Rs.

45.3.1 Key management personnel compensation

Short-term employment benefits paid - Directors

23,040,164	20,794,000
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45.3.2 Other transactions with key management personnel

(a) Items in the Statement of Financial Position

	Board Of Directors		Key Management Personnel	
	2024	2023	2024	2023
Assets - Loan and receivable	2,933,153	-	5,760,069	8,227,152
Liabilities	25,357,184	15,672,559	80,864,963.07	164,742,277

(b) Items in the Statement of Income

Interest income	626,098	-	70,845	499,382
Interest expense	4,396,385	2,171,309	15,588,771	21,526,289

Accommodation outstanding as a percentage of the Company's Capital Fund (%)

Loan and receivables	0.0009	-	0.0017	0.0027
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45.3.3 Share transactions with key management personnel

Number of ordinary shares held at the year end

6,000	-	26,535	-
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45.3.4 Senior management personnel compensation

Short-term employment benefits paid to Senior Management

61,738,556	61,019,480
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46. RISK MANAGEMENT

As a financial institution, the Company is exposed to various types of risks including credit, market, liquidity and operational risks which are inherent to the Company's activities. Managing these risks is critical for the sustainability of the Company and plays a pivotal role in all activities of the Company. The Company has developed a culture within the organisation, which shapes and influences the risk decisions taken by the management and the employees. The adequacy and the effectiveness of the risk management decisions taken by the Company's management will be reviewed regularly through its committees and reported to the "Integrated risk management committee" for reference and guidance. The Company believes that successful risk management will enable it to be resilient to any unfavourable event caused by internal or external factors.



46 RISK MANAGEMENT (CONTD....)

46.1 Risk management committees

46.1.1 Assets and liability committee (ALCO)

ALCO is chaired by the Chief Executive Officer and its representatives are the Chief Operating Officer, General Manager, the Deputy General Manager - Finance, the Deputy General Manager Marketing and Operation the Deputy General Manager - Treasury and the Deputy General Manager-Fixed Deposit. The committee meeting is held once a month to monitor and manage the assets and liabilities of the Company and the overall liquidity position to keep the Company's liquidity at healthy levels whilst satisfying regulatory requirements.

46.1.2 Board Audit Committee (BAC)

Audit committee has set up internal audit teams to ensure that the guidelines and processes in the business operations are adhered to in compliance with the policy and procedures. Internal audit plan covers the full scope of the business operations and reports to the BAC on continuous improvements required for the risk management frame work. BAC will oversee financial reporting, Risk Management and Internal controls.

46.1.3 Integrated Risk Management.

IRMC established by the BOD is to evaluate and protect the Company from financial and non-financial losses. IRMC meets and discuss the risk framework of AAF on a monthly basis. IRMC will guide the management to navigate risk events, scenarios depending on this risk appetite of the Board in order to ensure that the overall business strategy is achieved and the stakeholders of the Company receive the maximum returns. IRMC strives to improve the risk culture of AAF policies and procedures, technological advancements and training.

46.2 Capital Management

The Company's capital management is performed primarily considering regulatory capital. The Company's lead regulator, the Central Bank of Sri Lanka (CBSL) sets and monitors capital requirements for the Company. The Company is required to comply with the provisions of the Finance Companies (Capital Funds) Direction No.01 of 2003, Finance Companies (Capital Adequacy Requirements) Direction No.03 of 2018 and Finance Companies (Minimum Core Capital) Direction No.02 of 2017 in respect of regulatory capital. The Company's regulatory capital consists of tier 1 capital, which includes ordinary share capital, retained earnings and statutory reserves. Other negative reserves are included under prudence basis. Tier II capital includes unsecured subordinated debentures, which is included in the capital base consequent to obtaining the approval of CBSL. The Company's policy is to maintain a strong capital base so as to ensure investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the Company recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

As per Finance Business Act Directions No 3 of 2018, regulatory capital consists of Tier 1 capital, which comprises stated capital, statutory reserved fund, retained earnings including current year profit and general and other reserves less the goodwill, other intangible assets, other comprehensive income losses, deferred tax assets, shortfall of the cumulative impairment to total provisions and interest in suspense and 50% of investment in banking and financial companies.

As per the Finance Business Act Direction No 3 of 2018, the Licensed Finance Companies (LFCs) with assets of less than Rs. 100 Bn required to maintain a minimum Capital Adequacy Ratio (CAR) of 12.5% and a Core Capital Ratio (Tier 1) of 8.5% by 01st July 2022.

As of 31st March 2024, the Company has maintained Risk Weighted Capital Adequacy Ratios above the CBSL's minimum capital requirements.

	31.03.2024		31.03.2023	
	%		%	
	Actual	Required	Actual	Required
Tier 1 Capital Ratio / Core capital ratio	21.22	8.5	27.43	8.5
Total Capital Ratio / Total risk weighted capital ratio	20.87	12.5	27.43	12.5

46 RISK MANAGEMENT (CONTD....)

46.3 Market risk

Market risk is identified by the Company as the possibility of loss to the Company caused by changes in the market variables. Market risk mainly includes interest rate risk, liquidity risk, foreign exchange risk and country risk. Market risk is potential losses arising from changes in earnings, market or future cash flows of a portfolio of financial instruments resultant from adverse movements in market variables such as interest rates, share prices, foreign exchange rates and bond and commodity prices. Most of the Company's operations are exposed to at least one or more elements of market risk. The market risk stems primarily from the interest rate risk of its trading and non-trading books and from exposure to gold prices due to its pawning portfolio.

46.3.1 Re-Investment risk

These are uncertainties with regard to interest rate at which the future cash flows could be re-invested. On an increasing trend, this would be beneficial for Asia Asset Finance PLC.

46.3.2 Net interest position

When the market rates are on a downward trend and the Company's earning assets are higher than its liabilities, the risk of net interest position falling is high.

Under SLFRS 9: "Financial Instruments: Recognition & Measurement", the AAF assesses the impairment of loans and advances individually and collectively based on the principles of "expected credit loss" (Refer Note 18 for details) model which is expected to capture future trends in the economy. However, the regulatory provisions made on loans and advances under Direction No. 01 of 2020 on "Classification of loans and advances, Income Recognition and Provisioning" (and subsequent amendments thereof) issued by the CBSL are on "time/delinquency base". Further, under SLFRS 9, other debt financial assets not held at FVTPL, together with loan commitments and other off balance sheet exposures such as financial guarantees and letter of credits, are subject to impairment provision, whereas, no such regulatory provision is required for those financial assets as per the CBSL Direction. As a result, SLFRS 9 recognises higher impairment provisions compared to CBSL guidelines. Financial investments and financial liabilities (other than FVTPL) are carried at "cost" for regulatory reporting purposes while they are classified as "Financial assets measured at fair value through other comprehensive income" carried at fair value or Financial assets/liabilities at amortised cost under SLFRS 9. The "Fair value" is defined as the best estimate of the price that would be received to sell an asset or be paid to transfer a liability in an orderly transaction among market participants at the measurement date. A variety of valuation techniques combined with the range of plausible market parameters at a given point in time may still generate unexpected uncertainty beyond fair value. An "amortised cost" of a financial asset or financial liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment. Hence, the amortized cost of financial investments and financial liabilities under SLFRS 9 is different to the carrying value for regulatory reporting which is the "cost".

46.3.3 Liquidity risk

Liquidity is the ability to efficiently accommodate deposit as also reduction in liabilities and to fund the loan growth and possible funding of the off-balance sheet claims. Liquidity risk arises through maturity mismatch of loans and deposits.

In compliance with Finance Companies (Liquid Assets) Direction No: 4 of 2013 which shall not as the close of the business on any day, be less than the total of;

- (a) 10% of the outstanding value of the time deposits and accrued interest payable at the close of the business on such day and
- (b) 15% of outstanding value of the saving deposit and accrued interest payable at the close of the business on such day and
- (c) 10% of the total outstanding borrowings

The Company shall maintain liquid assets in the form of Sri Lankan government Treasury Bills and Government securities equivalent to 7.5% of the average of its month end total deposit liabilities and borrowings of the 12 months preceding financial year.



46 RISK MANAGEMENT (Contd..)

46.3 Market risk (contd..)

	31.03.2024	31.03.2023
	Rs.	Rs.
46.3.3.1 Total Liquid Assets		
Cash in hand	158,377,039	77,913,890
Balances in current accounts	90,964,848	96,474,984
Deposits in commercial banks	1,071,106,318	657,697,606
Treasury bills and Treasury Bonds	1,690,988,386	2,444,830,041
Other approved securities	-	1,228,198,224
	<u>3,011,436,591</u>	<u>4,505,114,745</u>
Available liquid asset	<u>3,011,436,591</u>	<u>4,505,114,745</u>
Required liquid asset	<u>1,458,591,841</u>	<u>901,298,277</u>
Liquid assets to deposit (%)	0.21	0.34
Advances to deposit (%)	142%	160%
Advances to deposit (Times)	1.420	1.597

46.3.4 Foreign exchange (FOREX) and country risk

FOREX is the risk that finance companies may suffer loss, as a result of adverse exchange rate movements. Country risk is the risk that arises due to cross border transactions. The uncertainty caused by the current economic crisis could lead to increased pressure on the local currency resulting in higher foreign exchange risk. However, since Asia Asset Finance PLC does not have any foreign borrowings or foreign transactions, the Company concludes that negative impact on economic crisis will not be substantial on the Company to conduct an in-depth analysis. However, there is a slight impact when budgeting for this cost. The above risks are triggered by the treasury operations.

46.3.5 Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a Financial Instrument will fluctuate because of changes in market interest rates. The Company manages its interest rate risk by having a balanced portfolio of fixed and variable rate financial assets and financial liabilities. Techniques used to measure the interest rate risk include, Duration Gap Analysis, VaR and Earnings at Risk. Rate sensitive assets and liabilities are mapped into time buckets based on their maturity period, in order to ascertain the duration gap and overall exposure to interest rate risk.

The Company sets out the aggregated level and risk types it accepts in order to achieve business objectives in a risk appetite statement and tolerance thresholds are decided based on the regional concept. This is reviewed on an ongoing basis, and formally approved by Integrated Risk Management Committee every one month. Stress Testing evaluates the potential vulnerabilities in the Company's overall profitability, asset portfolio, liquidity, operations and capital strength under current macro-economic conditions. This assists in the formulation of possible mitigating actions that could be considered in such circumstances. Based on the stress testing, immediate changes are introduced to business cycles through new product types to enhance liquidity and profitability requirement. All the functionality and process are directly linked with the core system for daily and ongoing monitoring process.

The following table demonstrates the sensitivity of the Company's profit for the year ended 31 March 2024 and 31 March 2023 to a reasonable possible change in interest rates, with all other variables remaining constant.

Impact on Statement of Income due to interest rate shocks

	31.03.2024	31.03.2023
	Rs.	Rs.
Magnitude of 100% shock	688,373,406	590,670,844
Magnitude of 150% shock	516,280,054	443,003,133
Magnitude of -50% shock	172,093,351	147,667,711
Magnitude of -25% shock	258,140,027	221,501,566



ASIA ASSET FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

46 RISK MANAGEMENT (Contd...)

46.3.5 Interest Rate Risk (contd...)

46.3.5.1 Interest Rate Exposure on Financial Assets and Liabilities

The table below analyses the Company's interest rate risk exposure on non-trading financial assets and liabilities. The Company's assets and liabilities are included at the carrying amount and categorised by the earlier of contractual re-pricing or maturity dates.

As at 31 st March 2024

	Carrying amount Rs.	On Demand Rs.	Less than 3 Months Rs.	3 to 12 Months Rs.	1 to 3 Years Rs.	3 to 5 Years Rs.	Over 5 Years Rs.	Non Interest bearing Rs.
Assets								
Cash and cash equivalents	221,635,345	221,635,345	-	-	-	-	-	-
Balances with banks and Financial Institutions	3,730,541,294	1,383,706,511	2,503,966,214	-	-	-	-	-
Loans and receivables - Amortized cost	19,057,508,451	-	8,748,092,388	4,186,438,313	4,329,676,747	835,456,933	48,246,638	909,597,477
Other Financial assets	506,659	-	-	-	-	-	-	506,659
Total	23,010,191,749	1,605,341,856	11,252,078,602	4,186,438,313	4,329,676,747	835,456,933	48,246,638	910,104,136
Liabilities								
Due to banks	47,637,705	47,637,705	-	-	-	-	-	-
Due to customers	14,472,621,940	-	5,168,395,872	6,183,136,342	2,476,273,363	644,816,363	-	-
Due to customers - Savings	12,514,226	12,514,226	-	-	-	-	-	-
Debt securities issued	1,058,730,444	-	(47,065,521)	541,355,685	564,440,281	-	-	-
Other Financial liabilities	6,050,495,203	-	1,838,040,823	3,073,687,585	1,138,766,796	-	-	-
Lease liabilities	219,443,235	-	10,405,634	31,216,898	84,516,862	84,285,626	9,018,215	-
Total	21,861,442,753	60,151,931	6,969,776,808	9,829,396,510	4,263,997,301	729,101,989	9,018,215	-
Total Interest sensitivity gap	1,148,748,997	1,545,189,925	4,282,301,794	(5,642,958,197)	85,679,446	106,354,944	39,228,423	910,104,136



46 RISK MANAGEMENT (CONTD....)

46.3.5 Interest Rate Risk (contd...)

46.3.5.1 Interest Rate Exposure on Financial Assets and Liabilities

As at 31st March 2023

	Carrying amount Rs.	On Demand Rs.	Less than 3 Months Rs.	3 to 12 Months Rs.	1 to 3 Years Rs.	3 to 5 Years Rs.	Over 5 Years Rs.	Non Interest bearing Rs.
Assets:								
Cash and cash equivalents	80,758,081	80,758,081	-	-	-	-	-	-
Balances with banks and financial institutions	1,982,370,814	834,930,671	1,228,198,224	-	-	-	-	-
Loans and receivables - Amortized cost	19,478,300,774	-	16,354,505,011	1,467,504,155	949,988,191	11,217,020	-	695,086,395
Other financial assets	506,659	-	-	-	-	-	-	506,659
Total	21,541,936,328	915,688,752	17,582,703,235	1,467,504,155	949,988,191	11,217,020	-	695,593,054
Liabilities								
Due to banks	3,763,272	3,763,272	-	-	-	-	-	-
Due to customers	13,273,274,499	-	4,995,775,397	6,410,129,587	1,338,108,829	529,260,666	-	-
Due to customers - Savings	1,694,073	1,694,073	-	-	-	-	-	-
Debt securities issued	2,187,519,136	-	(109,210,598)	3,224,049,595	588,029,667	484,650,473	-	-
Other financial liabilities	6,062,427,129	-	949,004,782	2,715,974,874	2,397,447,472	-	-	-
Lease liabilities	199,066,151	-	10,972,726	36,287,552	110,955,787	29,488,077	11,361,979	-
Total	21,727,744,260	5,457,345	5,846,542,307	10,386,441,638	4,434,541,735	1,043,399,236	11,361,979	-
Total Interest sensitivity gap	As at 31st March 2023	(185,807,933)	910,231,407	(8,918,937,483)	(3,484,553,564)	(1,032,182,216)	(11,361,979)	695,593,054

46.3.6 Commodity Price Risk

Commodity price risk refers to the uncertainty of future market value and future income scale caused by commodity price fluctuations. Given the importance of the gold loan to the Company, the volatility in gold prices may adversely affect the profits of the Company. Fluctuations in gold prices lead to market risk, which is the main source of credit risk associated with this product.

Product lifetime - As a credit risk management strategy, the Company delivers services in less time, enabling a faster recovery process.

46.3.7 Operational risk

Operational risk is the risk of losses arising from failed internal processes, systems failure, human error, fraud or external events. Operational risks exist in the natural course of business activities, products and processes. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or lead to financial loss. Operational risks cannot be fully eliminated. However, the Company's objective is to contain it within the acceptable levels as determined by the Company's Board of Directors. The Company's operational risk management framework clearly articulates the policies, structures and processes in place to manage the different types of operational risk exposures. The Board of Directors, supported by the IRM is responsible for formulating a policy and ensuring the robustness of the operational risk management framework. Loss events are recorded and periodically reported through the Risk Management Unit to the Board of Directors. Meanwhile, Internal Audit also provides assurance to the Board on the effectiveness on the operational risk management processes in place.





46. RISK MANAGEMENT (CONTD...)

46.4 Integrated risk management committee (IRM)

The IRM committee has the overall responsibility for the development of the risk strategy and implementing principles, frameworks, policies and limits. It is also responsible for managing risk decisions and monitoring risk levels and reports on a periodical basis to the Board. IRM assesses all reported risks by the risk management unit and issues directions and guidelines to enhance the policies and procedures to mitigate the risks.

46.4.1 Risk Appetite

The term "Risk Appetite" refers to the broad types and quantum of risk, the AAF is willing to undertake in implementing its business strategy. It is expressed in the form of tolerance limits and risk trigger points across a range of variables. The Board of Directors has ultimate responsibility for setting the Risk Appetite of the Company to ensure that the exposures and risks are maintained within that approved levels.

46.4.2 Credit risk

Credit risk is the likelihood that a borrower or counterparty will not honour its obligations in accordance with the terms of agreement, i.e. the risk of default which is one of the most vulnerable risks faced by any financial institution. Credit risk is inherent to all financial institutions where the main business is lending. The main aim of the "credit risk management" is to minimize the risk and to maximize the risk adjusted rate of return of the financial institution.

The Company conducted an in-depth analysis on the probable customers who would get affected and the scale of impact it may have on the Company's lending portfolio due to the prevailing macro-economic uncertainty and COVID-19 and the related impacts to our customers on account of elevated inflation and interest rates. The Company manages this by diversifying the lending portfolio across a wide range of products and customer segments which in turn would ensure the resilience of the Company in an economic shock of this nature. The Company is comfortable with the existing composition of its loan portfolio and continuous monitoring activities are being carried out to avoid accumulation of exposures to risky segments.

46.4.3 Company's approach to credit risk

Under SLFRS 9: "Financial Instruments: Recognition and Measurement", the AAF assess the impairment of loans and advances individually or collectively based on the principles of "expected credit loss" (Refer Note 18 for details) model which is expected to capture future trends in the economy. However, the regulatory provisions made on loans and advances under Direction No. 01 of 2020 on "Classification and Measurement of Credit Facilities", (and subsequent amendments thereof) issued by the CBSL. Further, under SLFRS 9, other debt financial assets not held at FVTPL, together with loan commitments and other off balance sheet exposures such as financial guarantees and letter of credits, are subject to impairment provision, whereas no such regulatory provision is required for these financial assets as per the CBSL Direction. As a result, SLFRS 9 recognises higher impairment provisions compared to CBSL guidelines. Financial investments and financial liabilities (other than FVTPL) are carried at "cost" for regulatory reporting purposes while they are classified as "Financial assets measured at fair value through other comprehensive income" carried at fair value or financial assets/liabilities at amortized cost under SLFRS 9. The "Fair value" is defined as the best estimate of the price that would be received to sell an asset or be paid to transfer a liability in an orderly transaction between market participants at the measurement date. A variety of valuation techniques combined with the range of plausible market parameters as at a given point in time may still generate unexpected uncertainty beyond fair value. An "amortized cost" of a financial asset or financial liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the EIR method of any difference between the initial amount recognized and the maturity amount, minus any reduction for impairment. Hence, the amortised cost of financial investments and financial liabilities under SLFRS 9 are different to the carrying value for regulatory reporting which is the "cost".

46.5 Impairment assessment

The Company considers a financial instrument defaulted and, therefore, stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes more than 90 days past or three instalments in arrears due on its contractual payments or when classified as Non-Performing Loan(NPL) as per directions issued by the Central Bank of Sri Lanka (CBSL).

46.5.1 Individually assessed allowances

The allowance is appropriate for each individually significant loan or advance on an individual basis if there is any objective evidence of a potential loss. The Company has currently set individually significant threshold at LKR 5Mn for Small and Corporate Loans and for LKR 1Mn for Personal loan category. Every customer having an aggregate exposure above that limit is individually assessed for objective evidence of incurred loss. Items considered when determining allowance amounts include, the sustainability of the counterparty's business plan, its ability to improve performance, if it is in a financial difficulty, projected receipts and the expected payout should a bankruptcy arise, the availability of other financial support, the realizable value of collateral and the timing of the expected cash flows. Gold Loan individually assessed through Dud and Suspicious articles Low quality articles, Carriage differences articles Weight differences articles which identified Company internal audit review notes.

46.5.2 Collectively assessed allowances

Allowances are assessed collectively for losses on loans and receivables that are not individually assessed. The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments. The collective assessment takes account of data from the loan portfolio (such as loan types, industry codes, and level of arrears). The AAF applies a three-stage approach to measure expected credit losses (ECLs). Financial assets shift through the following three stages based on the change in credit risk since initial recognition.

46 RISK MANAGEMENT (CONTD....)

46.5 Impairment assessment (contd....)

46.5.3 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets

As at 31st March 2024

	Subject to				
	Carrying amount Rs.	Not subject to ECL Rs.	12-month ECL (Stage 1) Rs.	Life time ECL - not credit impaired (Stage 2) Rs.	Life time ECL - credit impaired (Stage 3) Rs.
Cash and cash equivalents	3,887,692,725	3,887,692,725	-	-	-
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	1,755,472,300	1,755,472,300	-	-	-
Loans and advances at amortized cost					
Gross loans and advances	20,227,797,128	336,885,568	14,783,162,147	853,136,769	4,254,612,643
Less : Impairment charge	(1,432,510,944)	-	(161,288,845)	(29,664,991)	(1,301,577,109)
Less : Net interest margin	(3,376,873)	-	(3,376,873)	-	-
Net carrying amount	18,791,889,311	336,885,568	14,678,496,430	823,471,778	2,953,035,535
Lease rentals receivable and hire purchase at amortized cost					
Gross lease rentals receivable and hire purchase	336,858,880	-	32,676,380	12,262,507	291,919,993
Less : Impairment charge	(71,014,218)	-	170,743	(249,447)	(70,933,515)
Less : Net interest margin	(223,522)	-	(223,522)	-	-
Net carrying amount	265,619,140	-	32,621,601	12,013,060	220,984,478
Financial assets - fair value through other comprehensive income					
Gross carrying amount	7,006,659	7,006,659	-	-	-
Less : Impairment charge	(6,500,000)	(6,500,000)	-	-	-
Net carrying amount	506,659	506,659	-	-	-



46 RISK MANAGEMENT (CONTD...)

46.5 Impairment assessment (contd...)

46.5.3 Analysis of credit quality - Maximum exposure to credit risk by class of financial assets

As at 31st March 2023

	Subject to				
	Carrying amount Rs.	Not subject to ECL Rs.	12-month ECL (Stage 1) Rs.	Life time ECL - not credit impaired (Stage 2) Rs.	Life time ECL - credit impaired (Stage 3) Rs.
Cash and cash equivalents	2,063,128,895	2,063,128,895	-	-	-
Investment in reverse repurchase agreements against the treasury bills and bonds at amortized cost	2,444,830,041	2,444,830,041	-	-	-
Loans and advances at amortized cost					
Gross loans and advances	20,644,473,074	-	15,346,868,665	1,784,655,329	3,512,948,880
Less : Impairment charge	(1,298,879,663)	-	(103,857,616)	(100,206,467)	(1,394,855,578)
Less : Net Interest Margin	(16,928,855)	-	(16,928,855)	-	-
Net carrying amount	19,028,664,556	-	15,226,122,192	1,684,449,062	2,118,093,302
Lease rentals receivable and hire purchase at amortized cost					
Gross lease rentals receivable and hire purchase	557,198,546	-	294,930,371	51,578,728	210,689,448
Less : Impairment charge	(92,726,028)	-	(10,303,749)	(3,575,980)	(78,846,299)
Less : Net Interest margin	(14,836,302)	-	(14,836,302)	-	-
Net carrying amount	449,636,216	-	269,790,320	48,002,748	131,843,149
Financial assets - fair value through other comprehensive income					
Gross carrying amount	7,006,659	7,006,659	-	-	-
Less : Impairment charge	(6,500,000)	(6,500,000)	-	-	-
Net carrying amount	506,659	506,659	-	-	-



46 RISK MANAGEMENT (CONTD....)

46.6 Analysis of ECL Model under multiple economic scenarios

ECLs must reflect an unbiased and probability weighted estimate of credit losses over the expected life of the financial instrument. The main objective of the probability weighted economic estimates is to convert the historical statistics into more futuristic indicators. Also Primarily Economic factor adjustment is used to convert the Through the Cycle (TTC) PD in to Point in Time (PIT) PDs.

46.6.1 Sensitivity analysis of Impairment provisions on Loans and advances to customers

As at 31 March 2024

PD 1% increase across all age buckets
PD 1% decrease across all age buckets

LGD 5% increase
LGD 5% decrease

Probability weighted Economic Scenarios

Base case 10% increase, worst case 5% decrease and best case 5% decrease
Base case 10% decrease, worst case 5% increase and best case 5% increase

46.6.1 Sensitivity analysis of Impairment provisions on Loans and advances to customers

As at 31 March 2023

PD 1% increase across all age buckets
PD 1% decrease across all age buckets

LGD 5% increase
LGD 5% decrease

Probability weighted Economic Scenarios

Base case 10% increase, worst case 5% decrease and best case 5% decrease
Base case 10% decrease, worst case 5% increase and best case 5% increase

Sensitivity on ECL and sensitivity effect on Financial Position				Sensitivity effect on Income	
Stage1	Stage2	Stage3			
Rs.	Rs.	Rs.			Rs.
131,747 (131,747)	82,129 (82,129)	-			213,876 (213,876)
348,038 (348,038)	572,371 (572,371)	55,197,824 (55,197,824)			56,118,233 (56,118,233)
129,553 (129,553)	213,422 (213,422)	-			342,975 (342,975)

Sensitivity on ECL and sensitivity effect on Financial Position				Sensitivity effect on Income	
Stage1	Stage2	Stage3			
Rs.	Rs.	Rs.			Rs.
27,180,572 (27,180,572)	1,983,451 (1,983,451)	-			29,164,023 (29,164,023)
2,690,991 (2,690,991)	5,347,428 (5,347,428)	97,811,333 (97,811,333)			105,049,752 (105,049,752)
76,280 (76,280)	242,965 (242,965)	-			319,245 (319,245)



46 RISK MANAGEMENT (CONTD...)

46.6 Analysis of ECL Model under multiple economic scenarios (contd...)

46.6.2 Analysis of inputs to the ECL model under multiple economic scenarios

The Company obtains the data from reliable third party sources such as CBSA, International Monetary Fund and/or the World Bank in all instances where such projections are available. The following tables set out the key drivers of expected loss and the assumptions used for the AAF's base case estimate, ECLs based on the base case plus the effect of the use of multiple economic scenarios as at 31 March 2023 and 2024. The tables show the values of key forward looking economic variables/assumptions used in each of the economic scenarios for the ECL calculations.



As at 31 March 2024	Scenario	Probability Weighted	2024	2023	2022	2021	2020	2019
GDP Growth (%)	Base case Forecast	25.00%	4.50%	-12.40%	-1.80%	1.30%	2.70%	3.80%
	Best Case Forecast	5.00%	4.50%	-12.40%	-1.80%	1.33%	2.74%	3.84%
	Worst-case Forecast	70.00%	4.50%	-12.40%	-1.73%	1.26%	2.64%	3.74%
Inflation (YoY Average)	Base case Forecast	25.00%	0.50%	50.30%	18.70%	4.20%	4.80%	3.30%
	Best Case Forecast	5.00%	0.50%	50.30%	16.90%	4.60%	4.60%	3.16%
	Worst-case Forecast	70.00%	0.50%	50.30%	18.92%	4.29%	4.94%	3.40%
Interest Rate (PLR)	Base case Forecast	25.00%	10.69%	21.40%	13.50%	5.75%	10.49%	11.94%
	Best Case Forecast	5.00%	10.69%	21.40%	13.17%	5.58%	10.23%	11.63%
	Worst-case Forecast	70.00%	10.69%	21.40%	13.91%	6.22%	11.18%	12.78%
Exchange Rate-YE (US\$:LKR)	Base case Forecast	25.00%	305.33	325.63	320.00	207.80	191.86	193.64
	Best Case Forecast	5.00%	305.33	325.63	320.00	207.83	182.13	183.59
	Worst-case Forecast	70.00%	305.33	325.63	320.00	250.00	250.00	250.00
Unemployment (% of Labor Force)	Base case Forecast	25.00%	4.30%	4.80%	5.30%	5.20%	4.85%	4.40%
	Best Case Forecast	5.00%	4.30%	4.80%	5.18%	5.18%	4.84%	4.39%
	Worst-case Forecast	70.00%	4.30%	4.80%	5.22%	5.25%	4.88%	4.42%
As at 31 March 2023	Scenario	Probability Weighted	2023	2022	2021	2020	2019	2018
GDP Growth (%)	Base case Forecast	40.00%	-12.40%	-1.80%	1.30%	2.70%	3.80%	3.30%
	Best Case Forecast	30.00%	-12.40%	-1.80%	1.33%	2.74%	3.84%	3.34%
	Worst-case Forecast	30.00%	-12.40%	-1.73%	1.26%	2.64%	3.74%	3.24%
Inflation (YoY Average)	Base case Forecast	40.00%	50.30%	18.70%	4.20%	4.80%	3.30%	6.60%
	Best Case Forecast	30.00%	50.30%	16.90%	4.60%	3.16%	3.40%	6.30%
	Worst-case Forecast	30.00%	50.30%	18.92%	4.29%	4.94%	3.40%	6.81%
Interest Rate (PLR)	Base case Forecast	40.00%	21.40%	13.50%	5.75%	10.49%	11.94%	11.33%
	Best Case Forecast	30.00%	21.40%	13.17%	5.58%	10.23%	11.63%	11.05%
	Worst-case Forecast	30.00%	21.40%	13.91%	6.22%	11.18%	12.78%	12.10%
Exchange Rate-YE (US\$:LKR)	Base case Forecast	40.00%	325.63	320.00	213.80	191.86	193.64	197.79
	Best Case Forecast	30.00%	325.63	320.00	207.23	182.13	183.59	193.55
	Worst-case Forecast	30.00%	325.63	320.00	250.00	250.00	250.00	218.50
Unemployment (% of Labor Force)	Base case Forecast	40.00%	4.80%	5.20%	5.20%	4.85%	4.40%	4.20%
	Best Case Forecast	30.00%	4.80%	5.18%	5.18%	4.84%	4.39%	4.19%
	Worst-case Forecast	30.00%	4.80%	5.22%	5.25%	4.88%	4.42%	4.22%

46 RISK MANAGEMENT (CONTD...)

46.7 Collateral and Other Credit Enhancement

The table below provides an analysis of the current fair values of collateral held and credit enhancements for stage 1 to 3 assets. However, the Stage 3 ECL can be higher than net exposure shown below when the future value of collateral, measured using multiple economic scenarios, is expected to decline.

Revaluation of immovable properties obtained as collaterals against any accommodation granted are assessed based on the requirements in Direction No 04 of 2018 on 'Valuation of Immovable Properties' and subsequent amendments thereto issued by the Central Bank of Sri Lanka (CBSL). The assessment of immovable properties is carried out by independent professional valuers as required by the said direction issued by CBSL.

As at March 2024

Fair Value of Collateral under base case scenario

	Maximum Exposure to Credit risk Rs.	Immovable Collateral Rs.	Movable Collateral Rs.	Total Collateral Rs.	Net Exposure Rs.	Associated ECL Rs.
Stage 01	15,152,724,141	5,247,015,044	16,884,784,668	22,131,799,711	-	4,597,972,670
Stage 02	845,399,276	167,496,250	851,078,330	1,018,574,580	-	780,454,199
Stage 03	4,546,532,637	1,320,006,100	1,316,412,900	2,636,419,000	1,910,113,636	4,243,868,988
	20,544,656,054	6,734,517,394	19,092,276,098	25,847,195,491	1,910,113,636	9,630,275,857

As at March 2023

Fair Value of Collateral under base case scenario

	Maximum Exposure to Credit risk Rs.	Immovable Collateral Rs.	Movable Collateral Rs.	Total Collateral Rs.	Net Exposure Rs.	Associated ECL Rs.
Stage 01	15,641,799,036	1,246,099,750	20,543,572,555	21,789,672,305	-	14,672,211,078
Stage 02	1,836,234,257	252,386,350	1,977,046,585	2,229,432,935	-	1,821,202,704
Stage 03	3,732,483,326	880,087,150	634,872,782	1,414,959,932	2,287,523,394	3,164,324,296
	21,200,516,619	2,278,573,450	23,155,491,922	25,454,025,372	2,287,523,394	19,657,740,078

46.8 Concentration of credit risk

AAF manages concentration risk through strategically diversifying the business across industry sectors, products, counterparties and geographies. The Company's Credit Committee defines the limits for these segments and ensures compliance. Further, the Board and BWC monitor these exposures. They also make suggestions and recommendations on modifications to define limits based on the trends and developments shaping the business environment while following Muthood Group requirements.

46 RISK MANAGEMENT (CONTD....)

46.8 Concentration of credit risk (contd...)

The Company's concentration of risk in relation to the lending portfolio is managed by the industry sector which is detailed below:

	31.03.2024 Rs.	31.03.2023 Rs.
Manufacturing	970,916,970	803,946,052
Transport	349,244,233	277,974,848
Services	1,417,644,444	1,406,061,533
Agro-business and fisheries	8,139,478,754	10,007,510,052
Construction	748,919,992	696,716,405
Commercial trading	1,124,864,732	1,368,098,496
Others	7,404,586,883	6,360,209,133
Total lending portfolio	20,564,656,000	21,200,516,619
Loans and advances	5,906,156,791	4,146,146,668
Gold loans	14,321,640,336	16,497,171,404
Lease	336,858,881	557,198,547
Total receivables	20,564,656,000	21,200,516,619

46.9

Geographical distribution of Loans and Advances

Provincial breakdown for loans and receivable within Sri Lanka is as follows:

Provincial breakdown for loans and receivable within Sri Lanka is as follows:

	31.03.2024			
Lease and HP	Gold loan	Loans and advances	Total	
Rs.	Rs.	Rs.	Rs.	
Central	3,258,233,313	571,230,762	3,852,528,872	
Eastern	3,273,958,701	741,507,657	4,025,866,981	
North	3,206,092,823	596,505,748	3,858,360,955	
North Western	904,910,231	805,106,583	1,764,548,916	
Southern	445,198,336	410,587,362	959,490,939	
Sabarasgamuwa	199,127,223	36,866,746	235,993,969	
Western	2,235,831,049	2,637,723,451	4,964,952,435	
Uva	758,288,460	104,624,481	862,972,941	
	14,321,640,336	5,906,156,791	20,564,656,008	

Provincial breakdown for loans and receivable within Sri Lanka is as follows:

Lessee and HP	Gold loan		Loans and advances		Total
	Rs.	Rs.	Rs.	Rs.	
Central	51,155,427	4,147,923,223	204,196,078		4,403,274,728
Eastern	10,884,250	2,665,058,185	198,317,468		2,874,259,903
Northern	48,901,280	3,757,786,989	335,803,474		4,142,493,743
North Western	146,883,941	1,397,269,320	644,086,445		2,188,959,706
Southern	94,291,591	603,741,020	409,467,823		1,107,500,434
Sabangamwa		137,126,363	1,344,376		138,470,739
Western	205,082,058	2,868,691,425	2,350,552,704		5,424,326,187
Uva		919,572,879	1,658,300		921,231,179
	537,198,547	16,497,171,404	1,146,146,648		21,230,516,619



47. COMPARATIVE INFORMATION

Comparative figures and phrases have been re-arranged wherever necessary to conform to the current year's presentation.

48. ASSESSMENTS RECEIVED BY THE COMPANY

Income tax and VAT assessments received from the Department of Inland Revenue are outstanding as of the reporting date. These assessments have been appealed to Tax Commission and the Commissioner General of Inland Revenue. The Company is confident that these assessments can be successfully defended. As a result, no provisions have been made for these balances.

49. EVENTS AFTER THE REPORTING DATE

No circumstances have arisen since the reporting date which would require adjustments or disclosure in the financial statements.

